The World of the Indian Ocean: Continuity and Change

With the turn of the 16th century, two major developments occurred—the arrival of Europeans for trading ventures and the Mughal conquest of northern India. The Europeans, particularly the Portuguese, and the Mughals entered an already established economic system in which local institutions and networks played a crucial role. The Portuguese attempted to establish greater control over oceanic trade and commerce, while the Mughals sought to centralise control over the land revenue system. European involvement, which began with the Portuguese and was later followed by the Dutch, English, Danes, and French, developed into a complex system of interactions between European trading companies and Indian merchant networks. Subsequently, the Indian subcontinent became a major global intersection of commerce and cross-cultural exchange.

Simultaneously, new merchant groups emerged in coastal and hinterland areas. They controlled wealth, production system, supply chains, and at the same time, funded states and supported their political allies. The peasantry was involved in the production of raw materials, while weavers, dyers, bleachers, and other groups were working regularly to ready the deliveries of cotton textiles. Before the 15th century, the Indian Ocean trading network had a huge presence of Arab, Chinese, and Indian merchants. In subsequent centuries, Gujarati merchants in particular emerged as significant

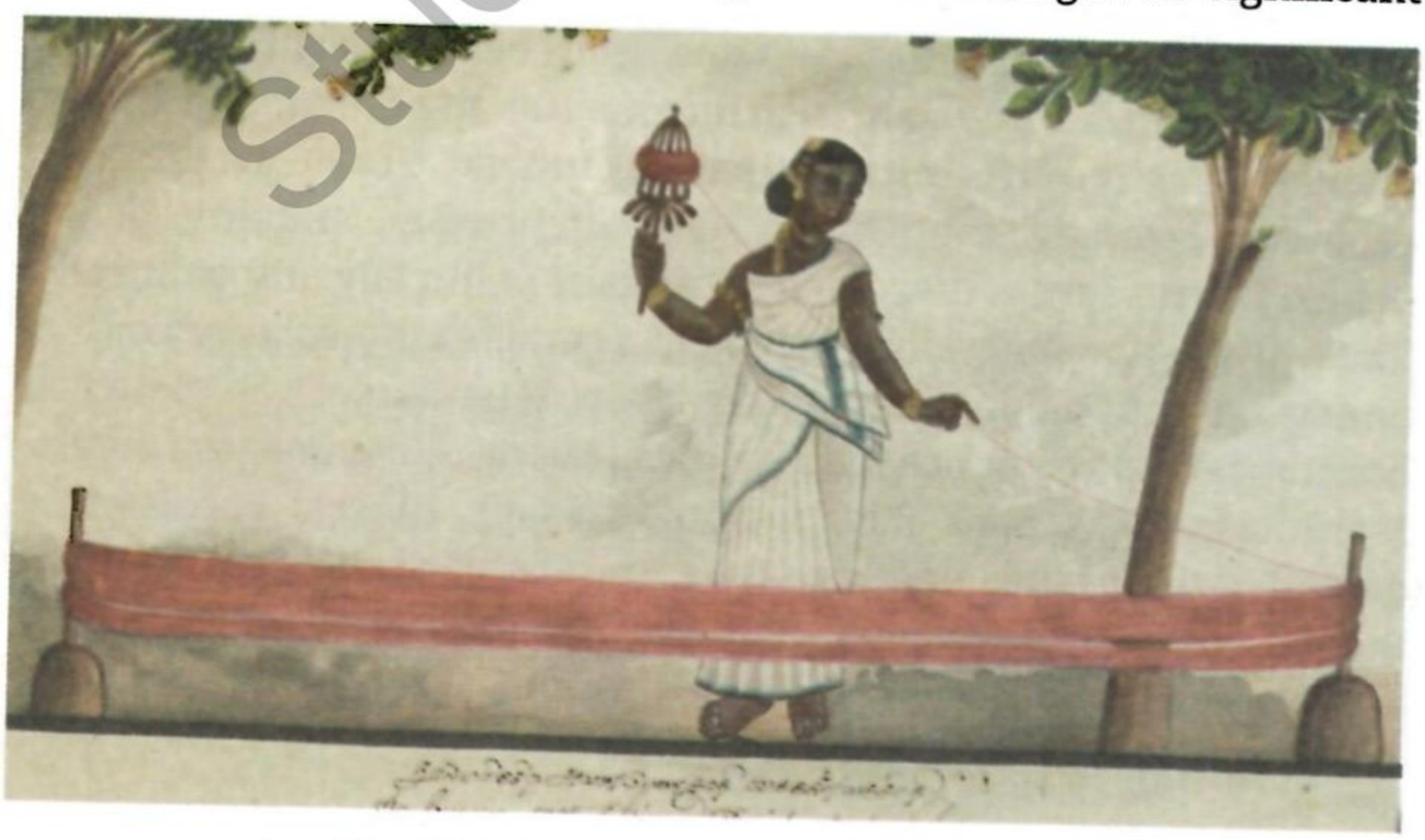

Fig. 3.31. A painting of a woman weaver

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beneficiaries of the changing commercial order. Alongside them, numerous merchant groups flourished in Malabar, Coromandel, and Bengal, adapting to the growing influence and competition of the British, Dutch, and French.

These merchant groups were not merely involved in the buying and selling of goods, but were closely connected to the political economy, facilitating and financing trade. Indian merchants functioned as traders, shippers, bankers, money-changers, brokers, *dubhaśhīs* (interpreters and translators), diplomats, and bureaucrats.

Mercantile activities were not limited to a few, select communities. For instance, *vellalār*, who were traditionally agriculturists and pastoralists, participated in the Indian Ocean trading network in various capacities. From the 16th century onwards, many peasant groups began to participate actively in commerce. Some of them even learnt new languages, including Portuguese, French, English, and Persian, to facilitate their commercial activities.

THINK ABOUT IT

Identify some cultural and economic pillars that exist in any community (places of faith, traditions, business, and trade, etc.). How do you think these contribute to resilience within a society facing invasions/external pressures?

Between 1000 and 1700 CE, despite frequent invasions, shifts in political authority, and unrest, the Indian economy remained dynamic. The economy was driven by adaptations of agricultural innovations and irrigation systems, markets, powerful merchant groups, advanced financial instruments like the *hunḍī*, and India's pivotal position in transcontinental Indian Ocean trade. This economic strength contributed to resilience and stability, giving people the resources they needed to resist politically and culturally. Thus, this period is best understood as a complex interplay of conflict and cooperation, defined by the deep interconnection between resistance and resilience. The Rajputs, Ahoms, Vijayanagara rulers, Marathas, Sikhs, and Jats, including many others, consistently defended their lands and identities. To safeguard their sovereignty, they used a strategic mix of direct military resistance, highly adaptive guerrilla warfare, knowledge of local terrains, diplomacy, and alliances.

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The resilience of Indian civilisation extended far beyond the battlefield to preserve its socio-cultural continuity.

Before we move on...

- → Resilience is the ability of individuals, communities, and societies to endure difficulties, adapt to changing circumstances, and sustain their way of life despite challenges.
- → Cultural traditions, shared beliefs, community support, knowledge, and economic resources can strengthen resilience.
- → Resistance means actively opposing or challenging a force, authority, or threat, in order to protect political power, territory, interests, or cultural identity.
- → Resistance may take the form of warfare, alliances, diplomacy, negotiation, or other political actions.
- → The Bhakti tradition demonstrated resilience by adapting devotional practices, using local languages, encouraging community participation, and preserving traditions even when circumstances changed.
- → Economic strength, through agriculture, irrigation, markets, merchant networks, financial practices, and trade, also contributed to resilience by providing resources that helped communities withstand periods of instability.
- → The period from 1000 to 1700 CE was not simply a story of invasions and battles. It was also a story of how people resisted threats, adapted to changing circumstances, preserved their cultural identities, and built new forms of cooperation and exchange.

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Questions and activities

1. Choose the most appropriate answer.

Resistance and resilience are closely connected because:

a. Resistance always involves warfare.

b. Resilience enables communities to endure difficulties and sustain resistance.

c. Resistance is possible only when a kingdom has a large army.

d. Resilient societies avoid all forms of conflict.

2. Why and how did groups such as the Sikhs, Marathas, and Rajputs assert their political power and identity during periods of changing political authority?

3. Why did some Rajput rulers decide to negotiate alliances with the Mughal power?

4. Imagine a market in a port town of India such as Surat, Masulipatnam, or Puducherry. You are a foreign trader from Italy or France and want to make a deal of cotton textiles. How would you secure the product in the local market? Whose help would you seek and what kind of challenges would you face in terms of language, quality of product, prices of commodities, etc.?

5. Watch any video at the given link (https:// www.indianculture.gov.in/forts-of-india/tales-of-forts) and analyse the various functions of forts and fortresses. How did rulers perceive the importance of forts in terms of strategic concerns.

6. What architectural changes occurred in temple construction during the period under study? How do these changes reflect upon the resilient nature of Indian civilisation?

7. A kingdom has limited military resources but possesses fertile agricultural land, strong local support, and detailed knowledge of its terrain.

   Explain two ways in which these resources could contribute to the kingdom's resilience when faced with a threat.

8. Consider the following statement:

   "A tradition becomes more resilient when people can carry it with them."

   Do you agree? Explain using examples from the Bhakti tradition.

9. Voices from the Past

   Choose any two of the following and write a short first-person account explaining what resilience means from that person's perspective:

   - A Bhakti saint
   - A Rajput soldier

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- An Ahom commander
- A Maratha administrator
- A merchant
- A Jat leader

10. Design a Fort

You are a military architect advising a ruler.

Draw a simple, labelled plan of a fort that includes the following:

- Residential complex
- Defensive walls
- Water source
- Food storage
- Escape route
- Watchtower
- Administrative area

Now, write a few sentences explaining how your design would help the kingdom withstand a long siege.

Notes

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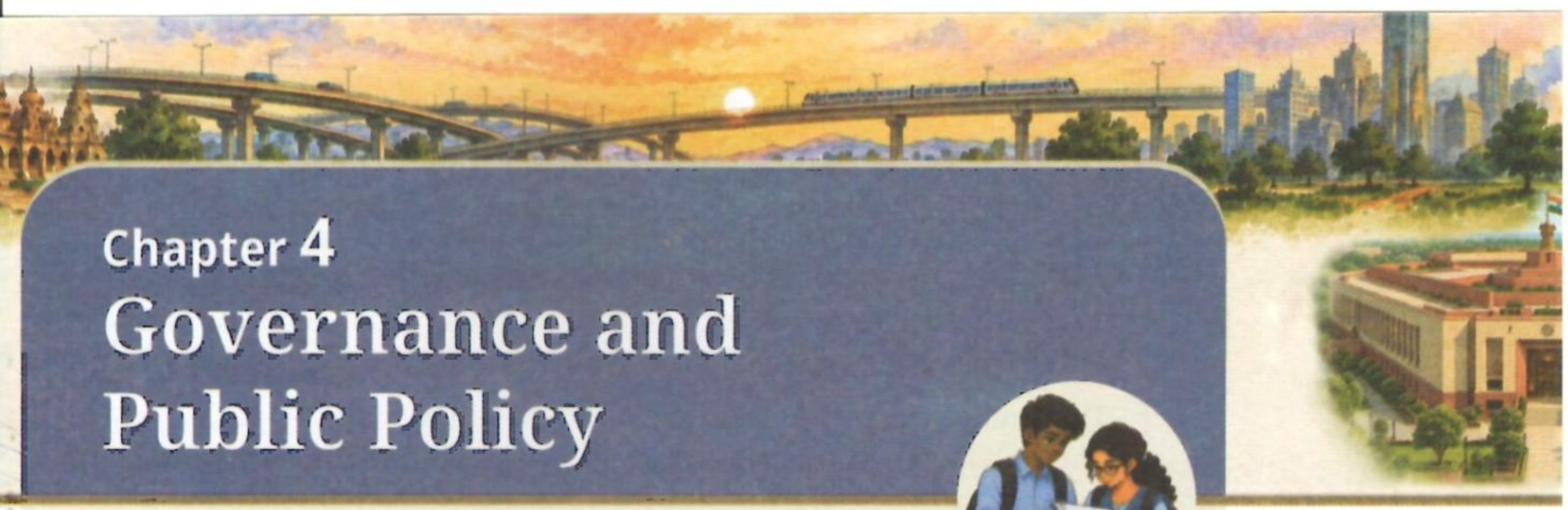

Chapter 4

Governance and Public Policy

The Big Questions

1. *What is governance, and how have its meaning and practice evolved over time?*
2. *What is public policy? How does it affect our day-to-day lives, and what makes it 'public'?*
3. *What are the various stages of policy-making and policy implementation?*
4. *Who are the major contributors to policy-making and implementation?*
5. *What role do citizens play in shaping public policy and strengthening good governance?*

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In the chapters 'Democracy' and 'Elections', we learnt that democracy is a system of self-governance that involves institutions, rules, and practices that enable people to participate in decision-making. However, in a well-functioning democracy, it is not enough to participate only in elections to form the government. A robust democracy requires transparent institutions, responsible representatives, and the continuous participation of people in public life.

Governance

Governance in a democratic system is based on transparency, accountability, participation, and the rule of law. Democratic governance places citizens at the centre of the political process. It is more people-centric and welfare-oriented.

LET'S EXPLORE

Let us see how a government and citizens come together to address various challenges.

Imagine that your town experiences several days of unusually heavy rainfall. Roads become flooded, schools remain closed,

electricity is disrupted in some areas, public health concerns rise, and many people find it difficult to reach schools, workplaces, or even hospitals. During such situations, organisations and individuals come together to help all in need.

The municipal corporation clears drains and removes garbage. The Public Works Department repairs damaged roads. The police manage traffic. School authorities inform parents that schools will remain closed. Health workers prevent the spread of diseases. Local representatives raise people's concerns, while residents volunteer to help vulnerable neighbours and report on flooded areas. The situation improves with collective efforts of all.

Form groups and discuss the following.

- → Who are the different people and organisations involved in dealing with this situation?
- → Why cannot a single department solve the problem on its own?
- → What would happen if these departments did not communicate or coordinate with one another?
- → What role can citizens play before, during, and after the heavy rainfall?
- → What makes the collective response effective?

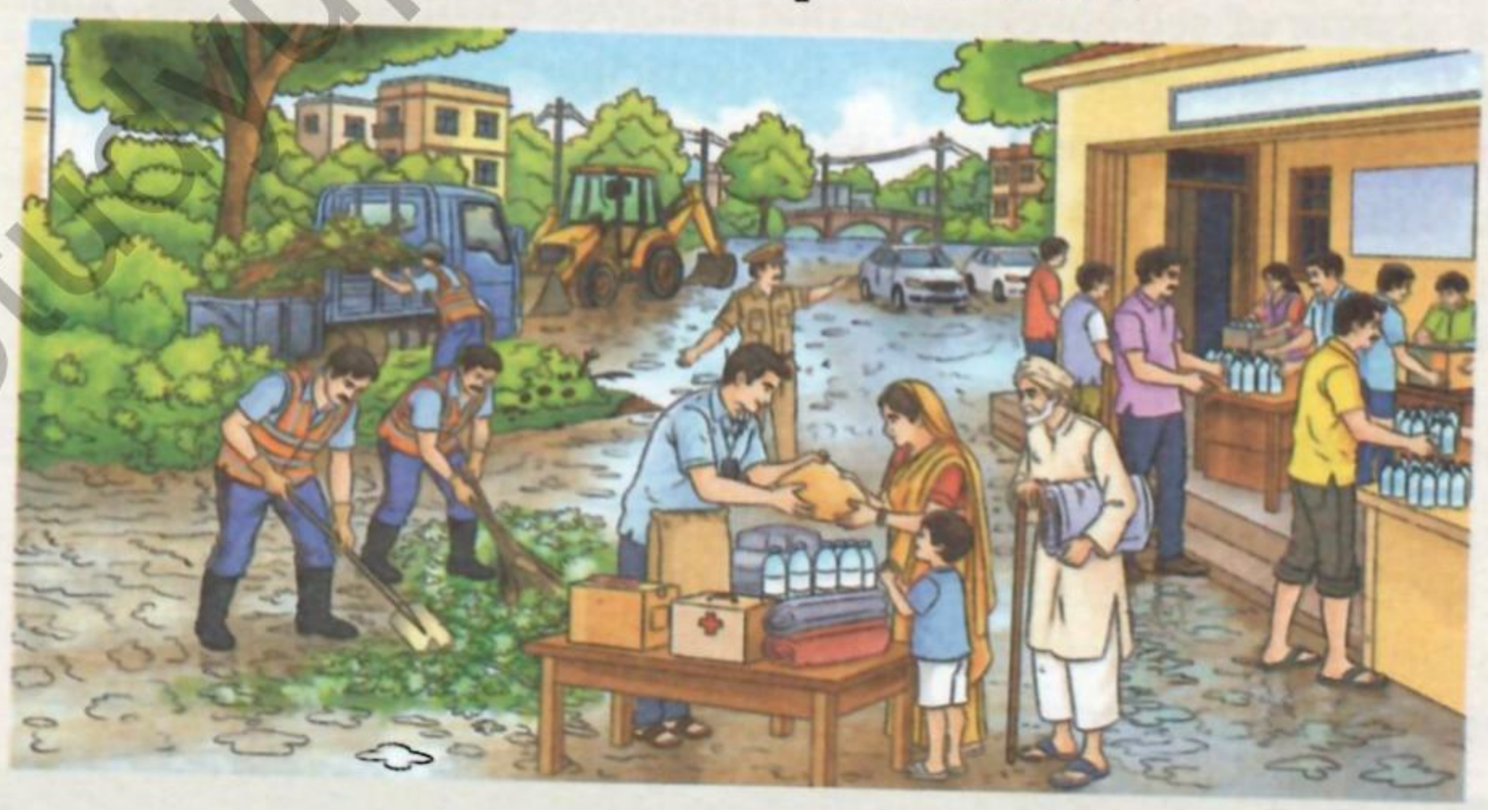

Fig. 4.1. Collective response to resolve the crisis

Share your ideas with the class. Make a list of the qualities that help the town respond effectively. These qualities are essential whenever governments and society work together to solve public problems.

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Solving public problems requires much more than a government issuing orders. Different institutions and citizens need to work together, make decisions, implement them effectively, and remain accountable. This process is known as **governance.**

Understanding Government and Governance

Government	Governance
Refers to the institutions that exercise political authority	Refers to the process of decision-making and implementation
Includes the Legislature, the Executive, and the Judiciary	Includes government, citizens, media, civil society, and private organisations
Focuses on who governs	Focuses on how governing is carried out

The terms 'government' and 'governance' are closely related. However, they are not synonymous. Government refers to the institutions and authorities that exercise political power, while governance refers to the process by which decisions are made, implemented, and monitored in the public interest. The government formulates and implements people-centric policies, and good governance ensures that these policies are transparent, accountable, effective, and responsive to people's needs. Governance is the system through which decisions are made, implemented, and monitored for the welfare of the people. It refers to the way a country, state, city, village, school, or organisation is managed. Therefore, understanding governance is essential to know how government impacts our lives.

LET'S EXPLORE

Government refers to the institution that has the authority to provide public services. For example, the municipal corporation or panchayat is responsible for installing street lights. Governance is the process by which this street lighting is planned, implemented,

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and maintained, involving people in identifying dark spots, reporting non-functional lights, and providing feedback.

It ensures the continuous delivery of public services—in this case, well-lit streets and greater public safety.

Can you identify more such examples from your day-to-day life to understand the difference between government and governance?

Evolution of Governance in India

In the previous section, we studied that while the government is the institutional aspect, governance refers to its functional aspect. The government's institutional setup influences the nature of governance, and governance initiatives, in turn, require institutional adaptations to implement policies and schemes.

We are familiar with the structure of government at different levels in India. But the same structure has not always existed as it does now; it has evolved from certain historical experiences. Let us understand this historical context by looking at the 'big picture' of the world history.

Do you remember the phenomenon of colonialism that you learnt about in Grade 8? We know that European powers colonised many societies, particularly those in Asia, Africa, and the Americas. Before colonial rulers forced their own models of governance and policy-making on colonised people, these societies governed themselves in accordance with local and organic systems. Although most colonies had become independent by the end of the 20th century, colonial institutions largely persisted, and their structures continued to dominate even in contemporary times. India is not an exception to the historical legacy of colonialism. However, India stands out in two important ways. Firstly, unlike many societies that experienced colonial rule, India has preserved most of its knowledge of its pre-colonial institutions and traditions of governance through texts and practices. Secondly, after Independence in 1947, it was not possible to replace all colonial institutions at once. The leaders of independent India therefore framed the Constitution in the spirit of India's own values and ideals.

Since Independence, Indian institutions have continued to draw upon traditional ideas and values of governance and have adapted them to the needs of a modern democracy. For example, the British 'Order of the Star of India' used the phrase, 'Heaven's Light, Our Guide' as its motto.but after Independence, we have adopted *'Satyamev Jayate'*

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(Truth alone triumphs), from the *Munḍaka Upaniṣhad* as our national motto. This reflects the continuing importance of Indian ethical values in public life. The motto of the Supreme Court of India was chosen to be *'Yato Dharmastato Jayaḥ'*. This phrase is taken from the *Mahābhārata,* and it means 'Where there is *Dharma* (righteous duty), there is victory'. These changes are not just symbolic or superficial. They signify the core values as well as the ideals of our institutions, which have been bestowed along with the responsibility of ensuring good governance.

LET'S EXPLORE

The *Sengol*—a cultural marker of rulership and good governance—was placed in India's newly inaugurated Parliament building in the year 2023 by Prime Minister Narendra Modi. The tradition of using the *Sengol* as a mark of righteous governance began more than a thousand years ago during the reign of Chola dynasty. To mark the occasion of India's Independence, at the stroke of midnight on 15th August 1947, the first Prime Minister, Jawaharlal Nehru, received the *Sengol* from the Adheenam Saints (an old Shaivite tradition) of Tamil Nadu. Try to find out more about the journey of the *Sengol* through its historic pictures.

Fig. 4.2. Sengol

Mahatma Gandhi visualised an ideal model of governance as *Rām Rājya. Rām Rājya* is rooted in the principles of probity, transparency, compassion, welfare, and people-centric orientation in governance and public policy. Gandhi's views on *Rām Rājya* reflect the collective imagination of Indians, from their distant past to the present day, that *Rām Rājya* is one of the best examples of good governance and a good collective life, as enshrined in the *Rāmāyaṇa* and the sixteenth-century text of *Rāmcharitamānas.*

From the Vedic period to the *Rāmāyaṇa* and the *Mahābhārata,* Indian tradition has consistently viewed governance as a sacred responsibility rather than merely a means of exercising power. *Rājadharma,* the foremost duty of an ideal king, was to protect the people by upholding *Dharma* (righteous duty) and promote the welfare of society. Good governance was measured not only by the ruler's authority but by the peace, prosperity, justice, and well-being in society. Kauṭilya's *Arthaśhāstra* says the following:

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प्रजासुखे सुखं राज्ञः प्रजानां च हिते हितम्

Prajāsukhe sukhaṁ rājñaḥ prajānāṁ cha hite hitam

(In the happiness of the people lies the happiness of the ruler, and in the interest of the people lies the interest of the ruler.)

LET'S RECALL

You have read in the first part of this textbook that the *Ṛigveda* refers to the *Sabhā* and *Samiti* as important institutions where matters of governance and public welfare were discussed.

Good Governance

Governance affects many aspects of our daily life. It helps maintain law and order so that people can live safely and peacefully. It protects the rights and freedom of citizens, which are essential in a democratic society. It also helps people access important public services, such as education, healthcare, transport, and so on.

Good governance promotes justice and fairness and ensures that people are treated equally before the law. It also helps build trust between citizens and the government.

Governance is the government's responsibility, but good governance depends on how different sections of society and government perform their responsibilities and work with one another. For example, the government makes laws and policies and provides public services. Citizens elect their representatives, follow the law, and participate in public life. The media helps people understand public issues and brings important matters to public attention. Civil society organisations work with communities and raise awareness about social concerns. The private sector contributes through economic activity and innovation.

Therefore, features of good governance include responsiveness, transparency, participation, the rule of law, accountability, effectiveness, and inclusiveness.

When people and institutions perform their responsibilities honestly and work together, governance becomes more effective and public welfare is achieved.

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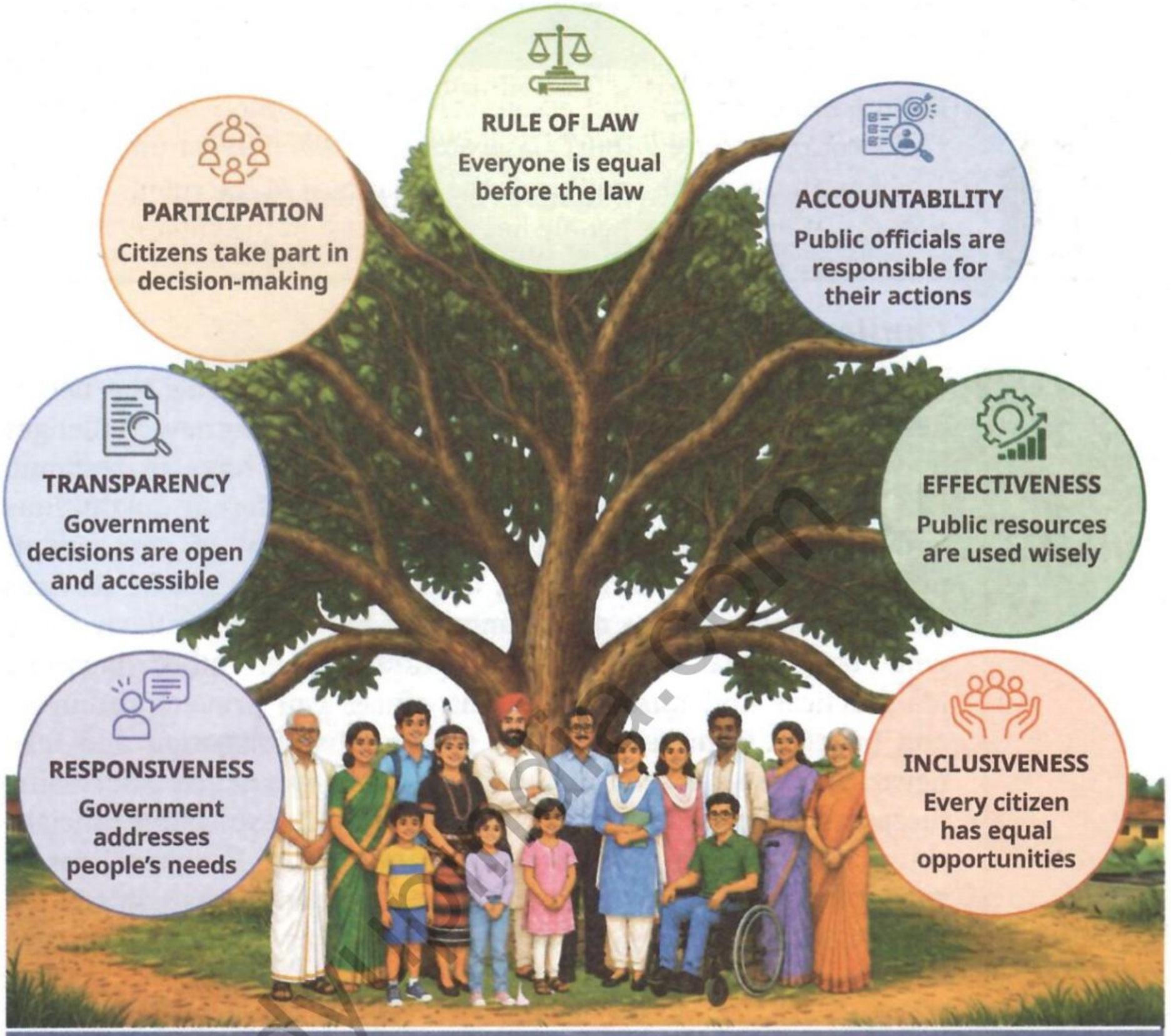

Fig. 4.3. Features of good governance

LET'S EXPLORE

Select two cities (one should be from a region other than yours) in India that have received awards for being the cleanest city. Make a visual presentation (chart paper or slideshow) to explain the 'good governance model' used in those cities by looking into the role played by government agencies (local, state, and national), residents, market associations, civil society organisations, etc. Also look into the steps they are taking to continue being clean cities.

Study Mantra

LET'S EXPLORE

Form pairs or groups and assign one State or Union Territory to each group. Prepare a short classroom discussion paper on:

1. Good governance initiatives being implemented.
2. Suggestions for further improving governance.

Challenges to Good Governance

The task of governance is always ongoing. With time, the needs, desires, and aspirations of people also evolve, creating new challenges to which the government and the institutions have to respond. For example, weak coordination between different institutions and departments can affect the implementation of government programmes. At the same time, unequal access to public services can leave some groups or communities behind, particularly those who face social, economic, geographical, or other barriers. Malpractices and misuse of public offices can prevent resources and benefits from reaching the people. Misinformation and fake news also pose a serious challenge to good governance. Addressing these challenges requires effective institutions, responsible officials, active citizens, and a continued commitment to the principles of good governance. The initiative of e-governance has contributed significantly towards good governance. Let us understand details about e-governance in the following section.

LET'S EXPLORE

Did you know that 25th December is celebrated as National Good Governance Day? Can you find out why this date was chosen? How is National Good Governance Day celebrated in your district? Discuss in your class.

E-Governance: Technology for Better Governance

Today, digital technology has changed the way the government interacts with people. **E-governance** refers to the use of information and communication technology by governments to provide public services, share information, communicate with citizens, receive feedback, and improve administrative processes. It can make

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governance more transparent, accessible, and convenient and quick for the citizens. E-governance substantially reduces paperwork and allows people to access services without visiting government offices.

LET'S EXPLORE

Below is a chart of a few e-governance initiatives. Complete the chart and also add two such initiatives undertaken by your state government.

Initiative		Objective
UMANG	UMANG	
AADHAAR	Aadhaar	
GeM Government e-Marketplace	GeM (Government e-Marketplace)	
DigiLocker	DigiLocker	
Department of Administrative Reforms & Public Grievances	CPGRAMS	
APAAR	APAAR	

E-governance is particularly valuable in a large country like India, as it enables governments to deliver public services more efficiently, transparently, conveniently, and quickly to citizens across vast geographical areas.

However, e-governance is only effective when people have access to digital devices, reliable internet, and the skills needed to use them. Therefore, while technology can strengthen good governance, the government must also ensure that digital services remain inclusive and accessible to everyone.

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LET'S EXPLORE

Let us try to understand the quality of life of citizens before and after e-governance. Form five groups and interview your seniors, teachers, security guards, administrative staff, and parents regarding the issues listed below. Did they have access to the internet and a smartphone or computer to make use of these e-governance facilities? Find out what problems they had faced before e-governance and whether they felt the same issues were easily handled after e-governance.

1. Obtaining a birth certificate
2. Obtaining a admit card
3. Collecting and storing marksheets
4. Receiving salary
5. Booking rail/flight tickets
6. Registering a vehicle

So far, we have understood that governance is the process through which decisions affecting people are made, implemented, and monitored with governments, institutions, both public and private, and citizens playing an active role in the process. But governance ultimately needs concrete instruments to address public problems and meet people's needs. Public policy provides that link; it translates governance into planned action by turning public concerns and government priorities into programmes, decisions, and solutions.

Public Policy

The Meaning of Public Policy

Every day, we experience the impact of public policies, often without even noticing it. The roads we travel on, the traffic signals that help us cross safely, the clean drinking water supplied to our homes, the electricity that lights our classrooms, the public parks where we play, and the waste collected from our neighbourhood are all examples of public services made possible through public policies. These policies help make our daily lives safer, healthier, and more convenient.

Suppose your school notices that many students bring single-use plastic bottles and wrappers in their lunchboxes and schoolbags

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every day. As a result, a large amount of waste is generated, and the campus becomes dirty, leading to environmental degradation in the long run. To address this problem, the principal discusses the issue with teachers, students, and parents. Together, they decide to introduce a 'Plastic-Free Campus Policy'. Under this policy, students are encouraged to carry reusable water bottles; plastic bags are discouraged; dustbins for waste segregation are placed around the campus; monthly awareness programmes are organised; and teachers are assigned with the responsibility of monitoring the campaign. These decisions form a policy because they provide a planned course of action to solve a problem and achieve a sustainable goal.

Similarly, governments make public policies to address problems that affect society as a whole. Public policy is a result of a course of action adopted by the government to solve public problems, meet people's needs, and promote the welfare of society. Through this course of action, governments decide what should be done, why it should be done, who will do it, how it will be implemented, and how its success will be measured. Further, public policy is monitored and evaluated through a feedback loop, and necessary changes are made to the policy if required.

What is 'Public' about Public Policy?

The word 'public' refers to all the people living in a society or community. A policy becomes public policy when it is made for the public benefit, implemented by public institutions, and often financed with public money collected through taxes. Public policies address issues that concern society as a whole, such as education, healthcare, transportation, sanitation, environmental protection, and public safety.

Public policy is about responding to the needs and aspirations of the people. Therefore, people play an important role in shaping them. People identify issues, express their concerns, participate in consultations, provide suggestions, and share feedback after a policy is implemented. Governments use this feedback to improve policies over time.

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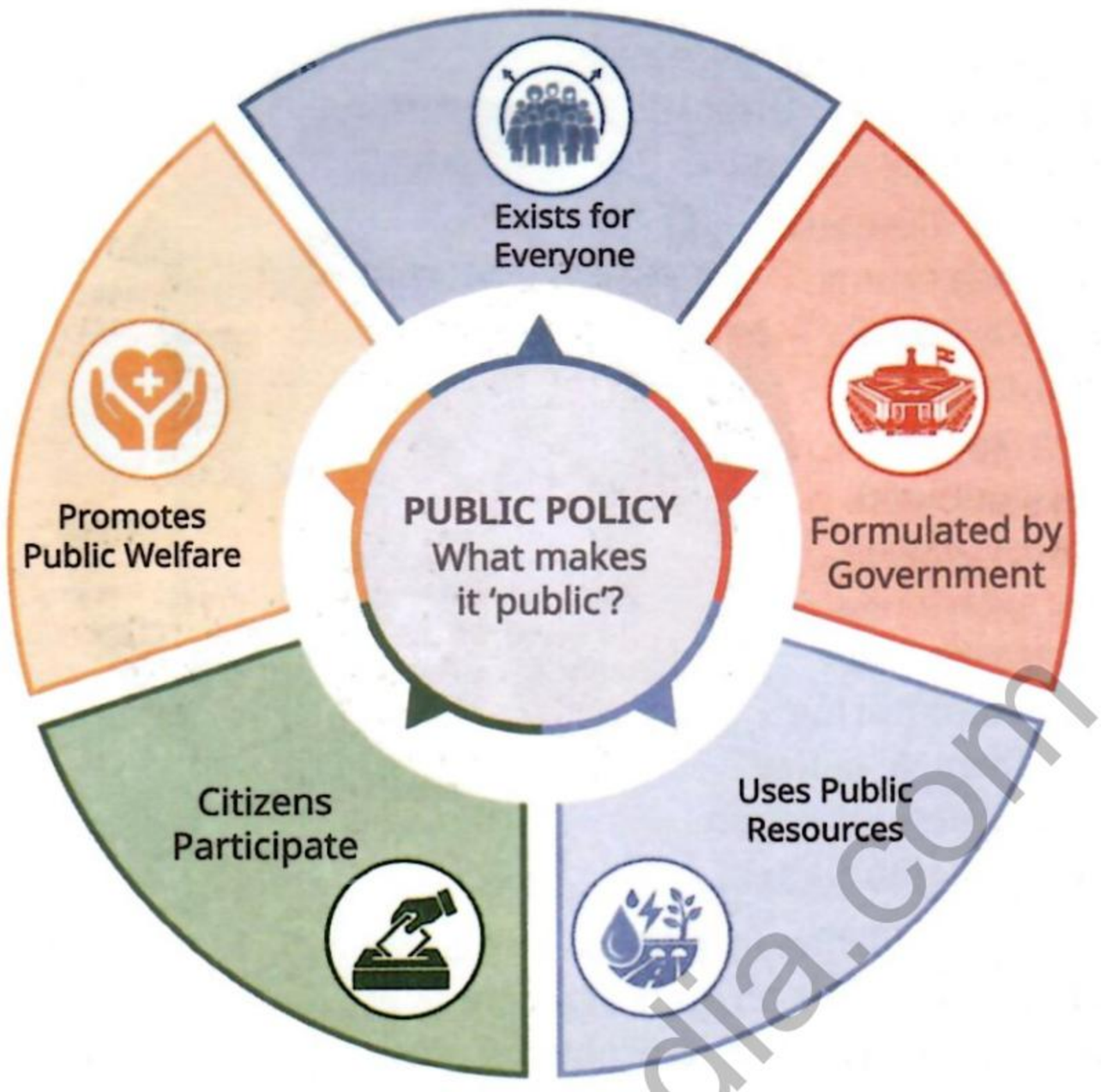

Fig. 4.4. Public policy: What makes it 'public'?

However, not every policy is a public policy. Schools, companies, hospitals, sports clubs, and even families often have their own policies to guide the way they function. For example, a school may have a policy on the use of mobile phones, a company may have a work-from-home policy, or a housing society may have rules for parking vehicles. These policies apply only to a particular organisation or a limited group of people. Public policies, on the other hand, are formulated by governments to address issues that affect society on a larger scale.

LET'S EXPLORE

Read each of the following examples carefully. Identify whether they are a **policy** or a **public policy**. Give a reason for your answer.

Example	Policy/ Public Policy	Why?
The government introduces a sports policy.		
The government launches a campaign to provide safe drinking water to every household.		

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Example	Policy/ Public Policy	Why?
A company allows employees to work from home twice a week.		
A municipality introduces waste segregation in the city.		
A housing society fixes visiting hours for guests.		
The government introduces free vaccination for children.		

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Participants in the Public Policy Process

Have you ever wondered who decides whether new schools are to be built, roads are to be repaired, and taxes are to be decreased or increased? Is it only the government? No, it takes the combined efforts of many individuals, organisations, officials, and even ordinary citizens in identifying issues, providing solutions, and putting them into action.

Table 4.1. Key Stakeholders in Policy-making and Implementation

Contributors	What do they do?	Example
Citizens	Identify problems, vote, participate, give suggestions, and provide feedback.	Residents request a zebra crossing near a school.
Elected representatives (MPs, MLAs, and local representatives)	Represent people, raise public issues, participate in law-making, and approve budgets.	An MLA raises the issue of drinking water shortage in the Assembly.
Government officials, departments, and ministries (Central, State and Local Governments)	Prepare and implement policies and programmes, coordinate departments, deliver public services, and monitor their progress.	A district collector coordinates the implementation of a government scheme in the district.
Civil society organisations, NGOs, experts, researchers, and the media	Study problems, suggest solutions, create awareness, monitor programmes, and provide feedback.	An NGO conducts a water-conservation campaign, and the media highlights pollution concerns.
Private sector	Facilitate technical know how, innovation, resources, and expertise, often working with the government.	A company installs solar panels in government schools through a public-private partnership.
International organisations	Bring in international experience, facilitates technical know how and financial support.	The World Health Organization (WHO) assists countries in controlling infectious diseases.

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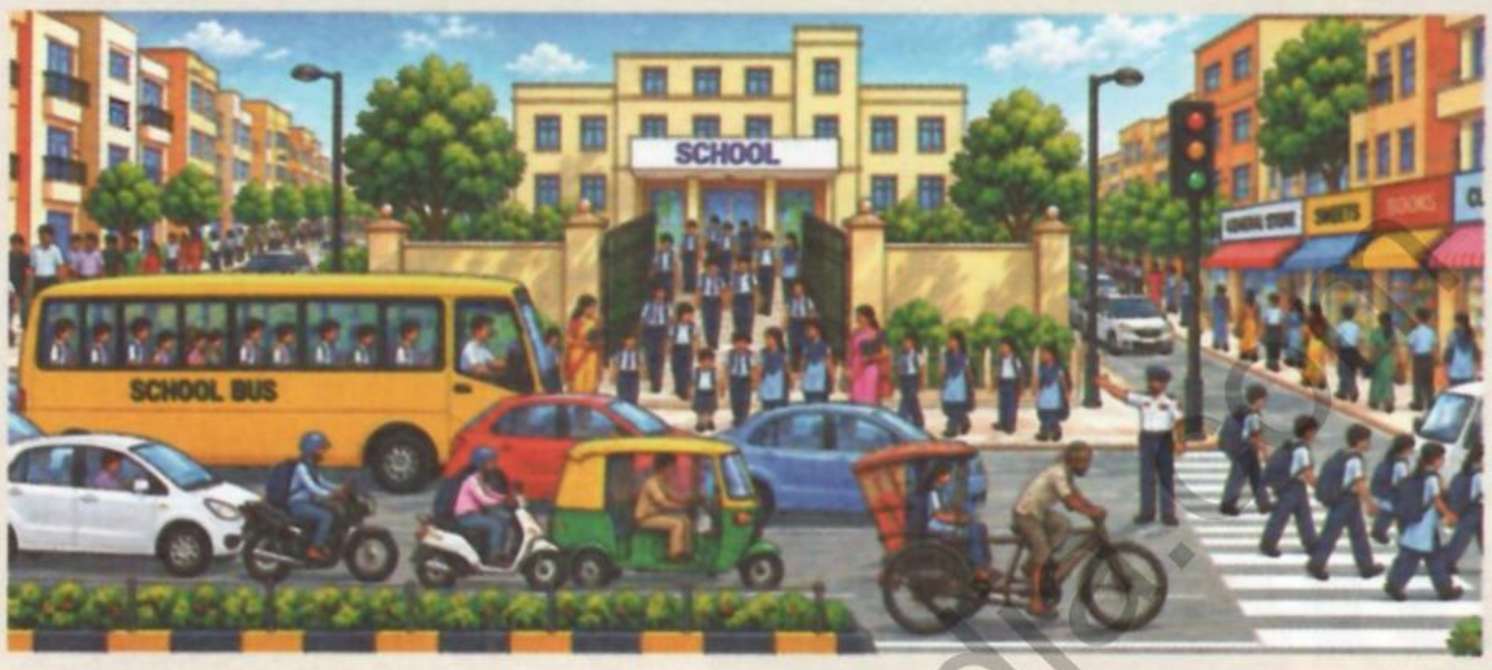
LET'S EXPLORE

Your school's main gate faces a road that connects residential areas and a major market area. There is heavy traffic congestion on the road, especially during morning and afternoon hours. Pedal rickshaws, electric rickshaws, school buses, private vehicles, and pedestrians—all struggle to get their way.



Form groups in your class and choose a course of action from the options given below.

1. Form a group of volunteers to regulate traffic in rush hours.
2. Write an application to the principal about the issue.
3. Meet the principal, along with all the class representatives of the school, to discuss the gravity of the situation and then impress upon the principal the need to take up the issue with the local people's representative so that a traffic signal can be installed.
4. Request the school management to construct and open another gate on the other side of the school.
5. Suggest that the school shift its pick-up and drop-off point to a location slightly away from the main gate.
6. Change school timings so that the school's opening and closing hours do not coincide with the busiest traffic hours in the market.

Answer the following based on the information given above.

→ Which option did you choose and why?

→ Can you suggest a better solution to address the given problem? Compare your suggestion with other options.

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→ Which stakeholders would be involved in solving this problem in your suggested solution? Explain their role in solving the problem.

→ Suggest a feedback loop to ensure that the problem does not recur.

Case Study—A Ramp to Better Healthcare

Smt. Shanti Devi, a 72-year-old woman, visits the hospital for a health check-up. On arriving the hospital, she finds that she has to climb stairs to reach the Outpatient Department (OPD). There is no ramp or handrail to support her. At the same time, a man in a wheelchair arrives but is unable to enter the building because the entrance has only steps, with no wheelchair-accessible ramp. A visually impaired person may be able to climb the steps to enter the hospital but finds it difficult to locate different hospital departments because there are no tactile paths or Braille signs.

Many patients and their family members realise that the hospital infrastructure is not accessible to everyone. They decide to raise this issue with the hospital authorities and local representatives. A local disability rights organisation also highlights the problem through newspapers and social media. The district administration takes note of the issue and asks the Public Works Department (PWD) and the Health Department to inspect the hospital. After consulting doctors, hospital staff, architectural experts, organisations working with persons with disabilities (PwDs), senior citizens, and residents, a plan is prepared to make the hospital more accessible. The government approves the funds needed to construct ramps, lifts, handrails, tactile pathways, and accessible toilets, and to install clear signboards. Once the work is complete, the hospital becomes easier to use for older persons, persons with disabilities, pregnant women, patients, and children.

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This is an example of how a public policy moves from identifying a problem to implementation.

LET'S EXPLORE

Read the case study and follow the journey of the issue from identifying the problem to implementing a solution. As you read, identify the problem, the people and institutions involved, the actions taken, and the steps through which the solution was developed and implemented. Then, answer the questions below:

1. Arrange the various stages of the policy process in sequence for upgrading the hospital to be more patient-friendly.
2. Which stakeholders were involved in solving this problem? Identify at least three.
3. Can you think of any public building in your locality that could be made more accessible? What improvements would you suggest?

The Making of a Public Policy

A public policy is developed through a systematic process rather than a single decision. It usually begins when citizens, government officials, researchers, or civil society organisations realise that a new need has to be met, an existing problem has to be resolved, or a facility has to be made better in the interest of the people. Then the government studies the issue, collects information, and consults experts, stakeholders, and the public to understand different viewpoints and possible solutions. Based on these discussions, the government authorities prepare, review, and approve a draft policy. Once the policy is approved by the concerned authorities, it is translated into programmes and schemes, which provide a clear framework for different ministries, departments, and local governments to take specific action. The implementation of any policy is continuously monitored and evaluated to assess whether it is achieving its objectives. Feedback from citizens and other stakeholders is used to improve the policy over time. Thus, public policy is a continuous cycle of problem identification, consultation, policy formulation, implementation, monitoring, evaluation, and improvement. This process helps the government respond effectively to the changing needs of society.

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Fig. 4.5. Exemplar of a policy cycle

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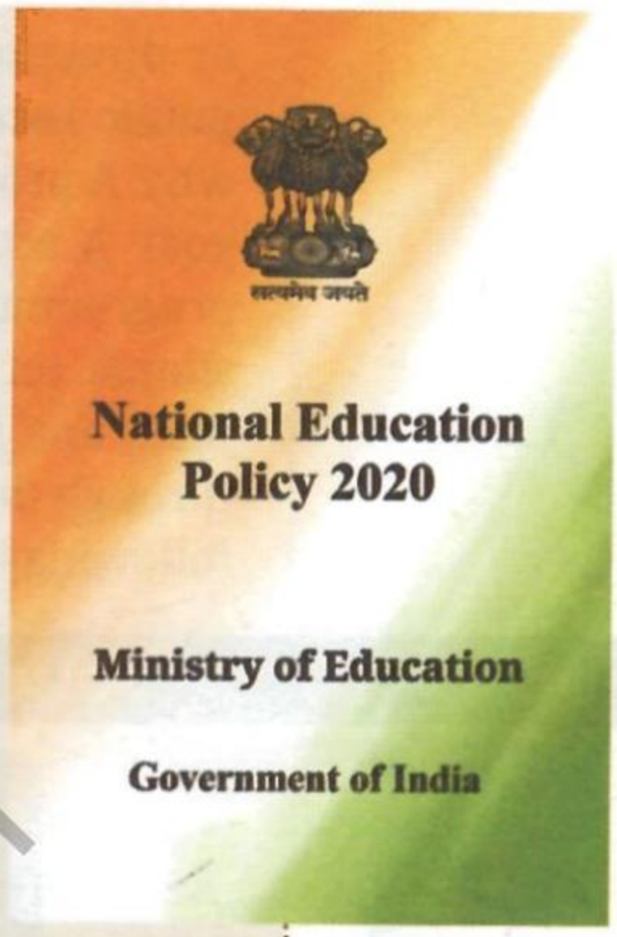
DON'T MISS OUT

National Education Policy (NEP) 2020: A Collaborative Journey

The National Education Policy (NEP) 2020 is an excellent example of how public policy is developed through consultation, expert advice, and public participation. India's previous National Policy on Education was introduced in 1986.

Over time, society changed rapidly. These changes created a need to rethink India's education system.

Recognising this need, the Government of India initiated the process of developing a new education policy in 2015. For drafting this policy, the government set up an expert committee in 2017, which was chaired by renowned scientist Dr K. Kasturirangan. The committee included experts from education, science, technology, social sciences, and public administration. A unique feature of NEP 2020 was the large-scale public consultation. The draft policy was made available for feedback by citizens and all stakeholders. During the formulation of the policy, 2.5 lakh Gram Panchayats, 6600 blocks, 6000 Urban Local Bodies, and 676 districts were consulted, and about 2 lakhs suggestions were received. The expert committee carefully examined the suggestions. Several recommendations from citizens and institutions were incorporated before the final policy was prepared. After discussions within the Government of India, the National Education Policy 2020 was approved by the Union Cabinet in July 2020.



Stakeholder Role-Play

Divide the class into groups. Each group represents one of these stakeholders:

- The Union Government, a state government, a school principal, a teacher, a parent, a student, an NGO, and a journalist
- Discuss how the stakeholder group you belong to can contribute to the successful implementation of the NEP. Present your ideas to the class. You can access the policy document at *https://static.pib.gov.in/WriteReadData/userfiles/NEP_Final_English_0.pdf*

THINK ABOUT IT

If any step in policy-making and implementation is skipped, what would be the implications? Discuss with a suitable example.

For a policy to be implemented effectively, it is always further organised into programmes and schemes. A policy is a broad goal

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or direction adopted by the government to address an important public issue. It tells us what the government wants to achieve and why. A programme explains the plan or approach for achieving that goal. A scheme is a specific action or initiative through which the programme is implemented so that its benefits reach the people. In simple terms, policy provides direction, programmes provide the plan, and schemes put the plan into action. Let us understand this through the example of the National Health Policy 2017, given in the following infographic.

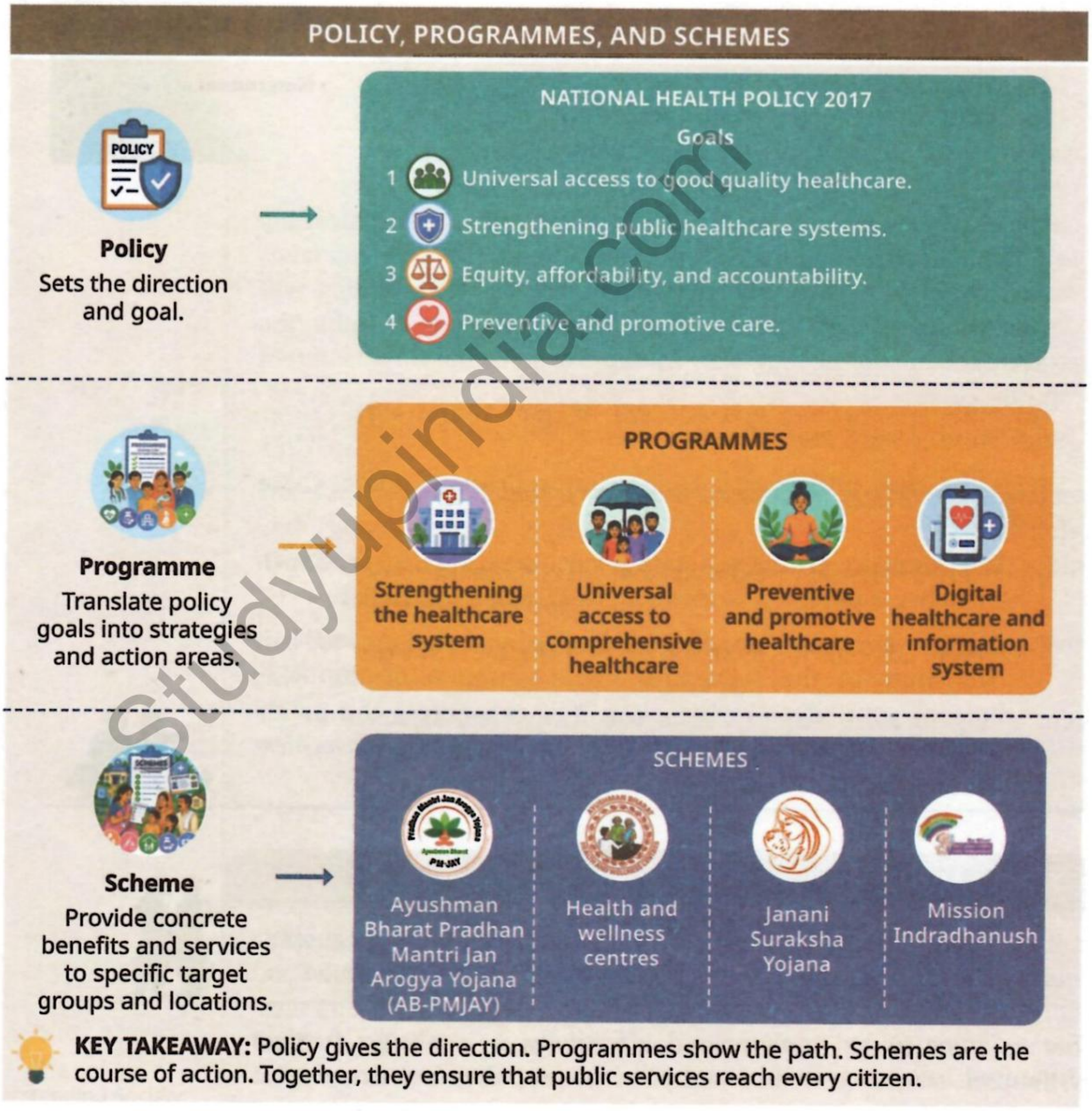

Fig. 4.6. Difference between a policy, programme, and scheme

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Policy Coordination: Key to Good Governance

Public policymaking and implementation require multi-level planning and decision-making. This exercise becomes more complex and challenging in a country as vast and diverse as India.

Let us try to understand this with an example. The Government of India, recognising the transformative power of sports in nation-building and holistic development, launched the Khelo Bharat Niti in 2025 with the aim of transforming India's sports landscape. The government may plan a policy, but its success depends on many stakeholders—in this case, states, districts, local bodies, schools, coaches, families, and athletes. They all have different yet important roles to play. Families need to support a sports career for their children, especially their daughters; national or state governments need to encourage students, including specially abled students to take up sports; local authorities have the responsibility to maintain sports grounds or parks; scientists and innovators are expected to conduct research on better nutrition or equipment; and the Central Government has to visualise the importance of sports for holistic health as well as for international diplomacy.

Thus, the success of a policy, like Khelo Bharat Niti 2025, depends on the coordination between various

Fig. 4.7. Khelo Bharat Niti: A policy coordination exemplar

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stakeholders. The policy document of Khelo Bharat Niti says, "Strengthening the sporting culture and ecosystem from the block level to the national level is a key focus of the Khelo Bharat Niti 2025". At the national level, the role of the Union Government is primarily focused on providing the larger policy framework, including the policy objectives. Also, it is supposed to provide funding as well as identifying the sources of funding for its agencies located at lower vertical levels of states, districts and blocks. Khelo Bharat Niti mandates state governments to strengthen sporting ecosystems through initiatives such as 'Model Sports State'. State governments are expected to host major national games and tournaments and attract private investments through the public-private partnership (PPP) model to build sports infrastructure. Similarly, individual districts are encouraged to become 'Model Sports Districts' by enhancing their sports capabilities. Further at the level of blocks, sporting programmes are to be organised on a regular basis to attract mass participation and facilitate talent scouting.

Apart from the role of the government and its agencies, the Khelo Bharat Niti 2025 seeks an active role of private organisations and individual citizens as well. Private organisations can come forward to sponsor sportspersons and sports teams. They can invest in supporting scientific research programmes to develop better nutrition and equipment, and better medical facilities for sportspersons.

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LET'S EXPLORE

1. As a student, what role can you play in the successful implementation of Khelo Bharat Niti 2025?
2. Your school is designated as the 'state's sports ambassador'. What actions should it take to fulfil its role as sports ambassador?
3. Which ministries of the government can contribute towards the success of Khelo Bharat Niti 2025? How?

Governance may sound like government, but it is more about how decisions are made, implemented, and connected to people's everyday lives. Public policy provides an important link between governance and public life. Through public policies, governments decide how resources should be used and how public services should be provided. Elected representatives, government officials, local institutions, civil society organisations, researchers, the media, the

private sector, and people, all have different but connected roles in good governance. People, therefore, have an important contribution to make in the process of governance. By voting, following laws, raising concerns, participating in public affairs, and giving feedback on government services, they can help improve the way public institutions function. In a democratic country like India, governance is guided by the constitution, which lays down the framework for governing the nation.

Good governance is essential to strengthening democracy, promoting sustainable development, and ensuring national progress. It depends on transparent institutions, accountable leadership, active citizen participation, and a strong commitment to the rule of law. Public policy is integral to good governance. Good governance and public policy are crucial foundations for achieving national development goals. Good governance is, therefore, an ongoing effort that will help realise the vision of making India a developed, prosperous, and self-reliant nation.

Before we move on...

- Governance refers to the process of making, implementing, and monitoring decisions for the welfare of people, while government refers to the institutions that exercise political authority to govern.
- Good governance is based on principles such as participation, transparency, accountability, the rule of law, responsiveness, and efficiency, ensuring that public institutions serve the people effectively.
- India's understanding of governance has evolved from the ideas and values reflected in *Sabhā* and *Samiti*, *Rām Rājya*, and *Rājadharma* to the modern democratic system based on the Constitution and citizen participation.
- Public policy consists of decisions and actions taken by the government to solve public problems and promote the welfare of the people. Effective public policies are developed, implemented, monitored, and improved through a systematic policy process.
- Governance and public policy involve the combined efforts of many actors, including the government, institutions, civil society organisations, private sector, the media, and citizens, each performing complementary roles.

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- → Policy coordination among different government departments, institutions, and stakeholders is essential for addressing public problems, responding to emergencies, and delivering public services efficiently.
- → Active citizen participation through voting, providing feedback, obeying laws, community involvement, and holding public authorities accountable strengthens democracy and promotes good governance.

Questions and activities

1. "Good governance is the responsibility of the government alone." Do you agree with this statement? Give reasons to support your answer.
2. Do you think students can contribute to good governance? Write a short note describing any five ways in which students can become more responsible and active citizens.
3. Choose any one public policy [for example, Right to Education (RTE), Swachh Bharat Mission, PM POSHAN, Ayushman Bharat, Digital India, or Jal Jeevan Missio] and prepare a chart showing the following aspects:
   - The problem it addresses
   - The major stakeholders involved
   - How different actors coordinate
   - The role of citizens in its success

   Present your findings to the class.
4. Answer the following in one or two sentences.
   a. What is governance?
   b. How is governance different from government?
   c. What is meant by public policy?
   d. Name any four principles of good governance.
5. Compare the following and present your answer in a tabular form.
   a. Government and governance
   b. Policy and public policy

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6. Imagine you have been appointed to advise the district administration on improving governance. You have proposed six points (given below), but the administration decides to prioritise only three areas for improvement. Which three would you recommend as priority areas, and which one out of the three do you feel is the most important?

   a. Improve drinking water facilities in schools.
   b. Improve sanitation and public toilets in schools and market areas.
   c. Provide tricycles for orthopaedically challenged students.
   d. Install open-area swings and open-air gym in public parks.
   e. Ensure the vaccination of stray dogs to prevent rabies.
   f. Ensure distribution of iron and folic acid tablets for female students in schools.

7. Match the policy action point to its corresponding stage in the policy cycle.

S. no.	Policy action point	Stage of policy cycle
1.	Assessing the impact of the policy	Policy implementation
2.	Putting the policy into action	Policy evaluation
3.	Framing the legislation	Policy adoption
4.	Multi-dimensional consultation with stakeholders	Policy formulation
5.	Addressing a new need of the people	Policy desirability (problem identification)

8. Read the following case and answer the given questions.

   The government launches a programme to plant one lakh trees in a city. Funds are allocated, but only a few saplings survive because they are not watered or protected.

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a. Which stage of the policy cycle appears to be weak?

b. Which organisations should coordinate to improve the programme?

c. Suggest two measures that could improve the outcome.

9. Read each statement carefully. Do you agree or disagree? Give reasons for your answer.

a. A good public policy can fail if it is not implemented properly.

b. Citizen participation sometimes makes decision-making slower, but it can improve governance.

c. Technology alone cannot ensure good governance.

10. Design a public policy.

You are a member of your school's student representative body. Identify one issue, for example, plastic waste, water wastage, road safety, energy conservation, or littering in public places. Prepare a simple policy proposal that includes the following aspects of policymaking:

- The reason for selecting the issue
- Your proposed solution
- Who should implement it?
- How will students participate?
- How will you know whether the policy has succeeded?

Present your proposal to the class as a chart or slideshow presentation.

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Notes

Chapter 5

Managing Your Personal Finances

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The Big Questions

1. *What is personal finance and why is it important for individuals?*
2. *What are the pillars of personal finance?*
3. *What are some common savings and investment options?*
4. *How can you protect your savings and assets?*
5. *What is income tax?*

Have you ever received pocket money or money from relatives during festivals or special occasions? Think about how you usually use that money.

- Do you spend it immediately or save some of it?
- Do you keep your savings in a piggy bank *(gullak)* or somewhere else?
- How do you manage expenses, such as travelling to school, buying stationery, or occasionally purchasing food from the school canteen?
- Have you ever planned your spending to save for something you wanted later, like visiting your grandparents during summer break?

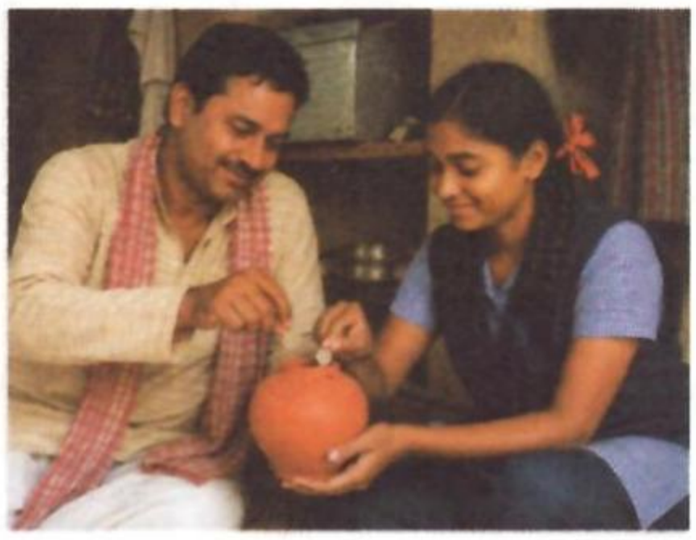

Fig. 5.1. Savings in a piggy bank

Our journey into managing money begins in childhood. As we grow into adulthood, we earn income, and spend it in many ways to fulfil our needs and wants. We also save money and make investments to achieve goals, such as buying a house or funding higher education.

Individuals and households in today's world have to make many decisions involving money. Money is, therefore, an important resource that should be utilised efficiently. This is where an understanding of personal finance becomes important. Personal finance refers to the planning and management of an individual's money to meet their needs and wants. It involves making smart financial decisions, such as how much to spend, how much to save,

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Budgeting (Planning Expenses)

Budgeting means planning in advance how income will be spent. A **budget** is a written plan that aims to balance income and expenses. People often plan to save and make financial decisions with a specific purpose in mind to be achieved in future. For example, a family may decide how much money to save each month or spend monthly on food, rent, school fees, transport, etc. Other examples include:

- Saving for a school trip next month.
- Buying sports equipment after six months.
- Saving for higher education in the future.
- Setting aside money for emergencies.

Setting such financial goals helps people prioritise their needs and make careful decisions regarding spending, saving, and investing.

One simple way to set goals is to ask:

- What do I want to achieve?
- How much money will I need?
- By when do I want to achieve it?
- What steps can help me reach this goal?

Budgeting helps control unnecessary spending, such as excessive eating out or impulse shopping, and enables people to prioritise important expenses. It also helps people live within their means by balancing income and expenditure.

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THINK ABOUT IT

Suppose you and your friends need to buy new badminton rackets for an upcoming tournament because the old ones have worn out. How would you manage your budget to cover the cost? Would you cut back on other expenses, use your savings, or borrow the amount from your parents or friends?

LET'S EXPLORE

Think of all your expenses and prepare your monthly/weekly budget using the template on Page 122.

Steps in Budgeting

1) Identify your expenses

Begin by listing all your monthly expenses, both large and small. This helps you understand where your money is being spent.

2) Set a savings goal

Decide how much you want to save, what you are saving for, and by when you need to have it saved up. A clear goal makes saving easier. For example, to save ₹3,000 in six months for a new bicycle, you would need to save ₹500 each month.

3) Track your spending

Regularly compare your actual spending with your budget. This helps you identify areas where you may be overspending and make corrections if needed.

4) Review and adjust your budget

A budget should be reviewed periodically to reflect changes in income, expenses, or financial goals. For example, rising transport costs or unexpected medical expenses may require adjustments to the budget. Regular reviews keep the budget realistic and effective.

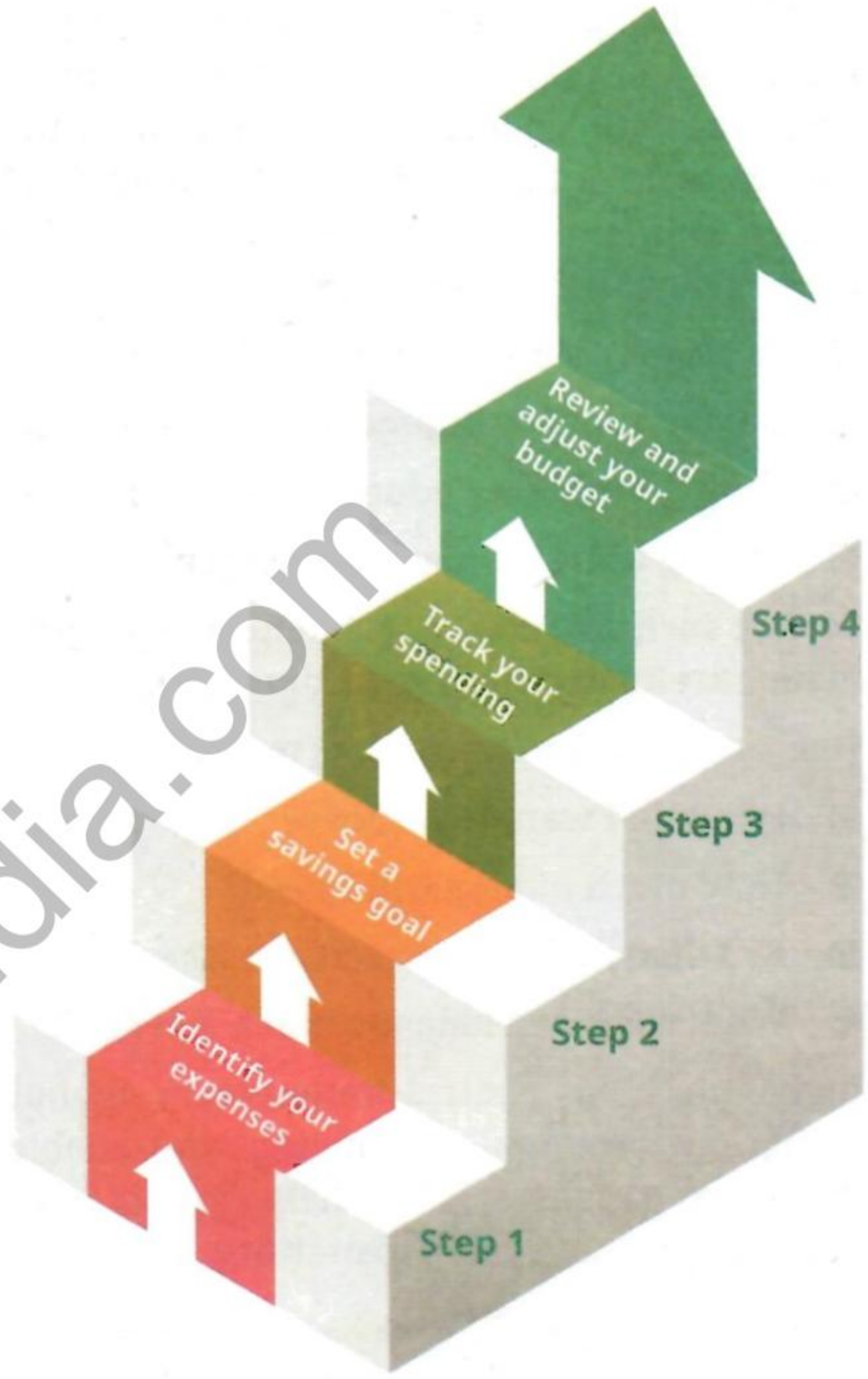

Fig. 5.3. Steps in budgeting

Saving

Saving means keeping aside a part of one's income for future use and represents a financial surplus accumulated over time. Savings are important for comfortable living, and because life is uncertain and emergencies can arise at any time. People also save to make future investments in assets, such as fixed deposits, stocks, mutual funds, and real estate.

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THINK ABOUT IT

- What would you do if you received ₹100 today? Would you save some or all of it, or spend it right away?
- In the Grade 9 Part 1 Chapter 'Building Blocks in Economics: The Problem of Choice', you learnt about wants and needs. Would you prefer spending the money on a want or a need?
- Financial experts often suggest saving first and spending what is left. Do you agree?
- Do you think individuals with low income can also save? Why or why not?

Investing (Growing Wealth)

Priya and Sameer both receive ₹500 as a birthday gift. Priya keeps her ₹500 in a piggy bank at home. One year later, she still has ₹500. Sameer puts his ₹500 into a savings scheme that earns 8% interest a year. One year later, he has ₹540. Both are being responsible with money, but are they doing the same thing?

Investing means putting your savings into assets with the aim of protecting their value and generating returns. It is like planting a mango tree—you do not get fruit immediately, but once you do, it continues to provide fruit for many years. While keeping savings in cash provides greater **liquidity**, investing helps increase wealth and protects the value of money. It also allows money to grow faster than the rate of **inflation**. For example, if a school bag costs ₹1,000 today, and inflation is 6% per year, the same bag may cost about ₹1,060 next year. If your money is simply kept at home and does not grow, you may not be able to buy the bag as your **purchasing power** will fall over time.

Do you remember the story of the king and the sage from the Grade 7 Chapter 'Banks and the Magic of Finance'? It explained the principle of compounding, where returns are earned not only on the original

Liquidity: Refers to how quickly and easily an asset can be converted into cash or cash equivalent without affecting its value.

Inflation: The increase in the prices of goods and services over time, which reduces the purchasing power of money. As prices rise, the same amount of money can buy fewer goods and services than before.

Purchasing power: The real-world value of money, measured by the quantity of goods and services a single unit of currency can buy. It determines your standard of living, as higher purchasing power means you get more goods and services with the same amount of money, while a decrease means you can afford less with the same amount of cash.

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investment (the principal) but also on the returns already earned, thereby accumulating high returns over time. Let us understand this again with an example.

Compounding: The process where an investment's earnings, such as interest or dividends, are reinvested to generate their own additional earnings over time.

Power of Early Investments

Suppose two people, Bhavisha and Dhruv, each save ₹1,000 at the end of every year and earn 7% annual interest. The only difference is that Bhavisha starts saving at the age of 25, while Dhruv begins at the age of 35. Although both save the same amount each year, but since Dhruv invested much later, by the age of 65, he accumulates only about 40% as much money as Bhavisha. This happens because **compounding** allows earlier investments to earn returns for a longer period, and those returns continue to generate additional returns over time.

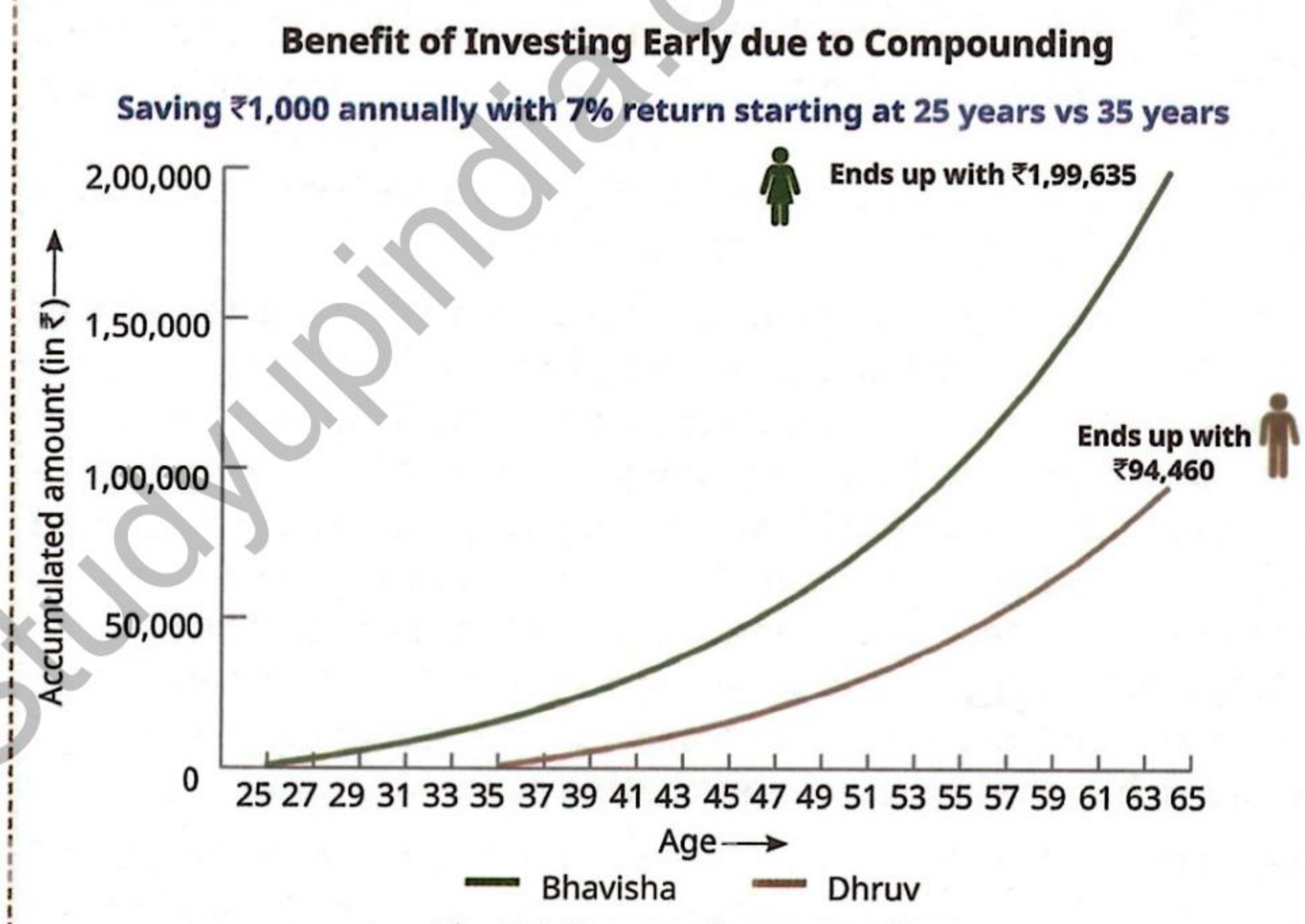

Fig. 5.4. Power of compounding

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LET'S EXPLORE

→ In Fig. 5.4 above, the curves are flatter in the beginning and tend to become steeper in the later years. Why do you think that happens?

→ Talk to your parents and find out the fixed deposit rates of their bank. You can also refer to the bank's website.

But where can one invest? Let us explore some common investment options.

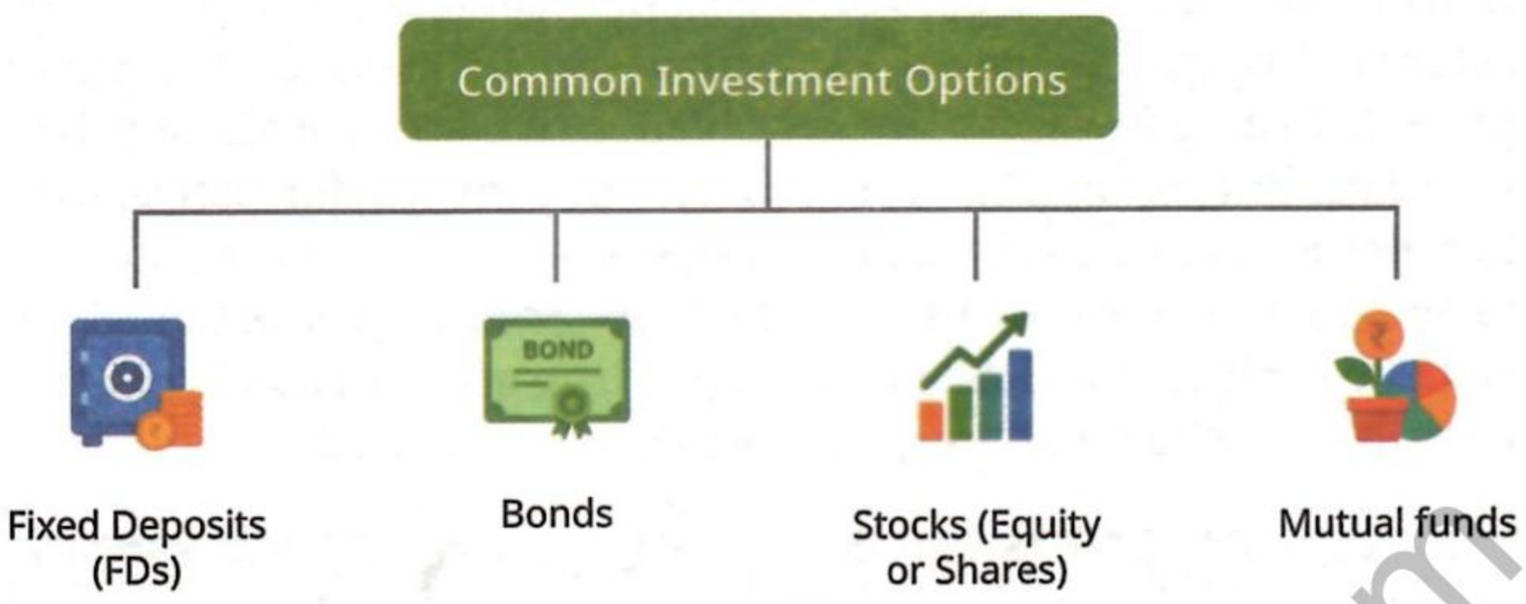

Fig. 5.5. Common investment options

a) Fixed Deposits (FDs)

Fixed deposits are among the most common and safest investment options offered by banks and post offices. In a fixed deposit, a person deposits a lump sum amount for a fixed period, such as one, three, or five years. During this period, the bank or post office pays a fixed rate of interest on this amount, which remains unchanged throughout the investment period. Fixed deposits offer assured returns and are suitable for people who prefer safety over high returns.

Other government-backed investment options include the Public Provident Fund (PPF) and small savings schemes, such as the National Savings Certificate (NSC) and the Sukanya Samriddhi Yojana. These schemes encourage long-term savings while providing safe and reasonable returns.

b) Bonds

Bonds are investments through which people lend money to the government or companies (issuers of bonds) for a fixed period. Bondholders earn regular interest. For example, if you buy a bond worth ₹10,000 that pays 5% interest per year, you will receive ₹500 as interest after one year. If the bond matures after one year, you will receive ₹10,500 in total. In reality, the **maturity period** ranges from 1 day to 30 years or more. You may also be able to sell the bond before maturity if you need the money earlier, making them more liquid. Government bonds are generally considered safer than **corporate bonds** and are suitable for those seeking a stable, predictable income.

Maturity period: The duration between its issue date and the point at which the issuer repays the principal amount.

Corporate bonds: Debt securities issued by companies to raise capital from investors. When you buy a corporate bond, you lend money to the company. In return, the company promises regular interest payments and to repay the initial principal amount when the bond matures.

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BSE SENSEX: The BSE SENSEX (Stock Exchange Sensitive Index) is the benchmark index of the Bombay Stock Exchange (BSE). It tracks the performance of 30 large, financially sound, and actively traded companies from different sectors of the economy and serves as an important indicator of the overall performance of the Indian stock market.

c) Stocks (Equity or Shares)

Shares represent ownership in a company. When a person buys shares, they become a part-owner of that company and may earn returns through dividends as well as an increase in the share price. Investing in shares involves higher risk because share prices fluctuate due to market conditions, company performance, and broader economic changes. However, shares also have the potential to generate higher returns over the long term. They are, therefore, suitable for investors who are willing to take greater risks for higher returns and who invest keeping the long term in mind.

LET'S ANALYSE

Look at the graph below that displays the performance of **BSE SENSEX** over the years. It fluctuates over short time periods; however, it can go up significantly in the long run. Why do you think these fluctuations happen? Discuss possible reasons with your classmates and find out more from newspapers, the internet, or by speaking to your family members.

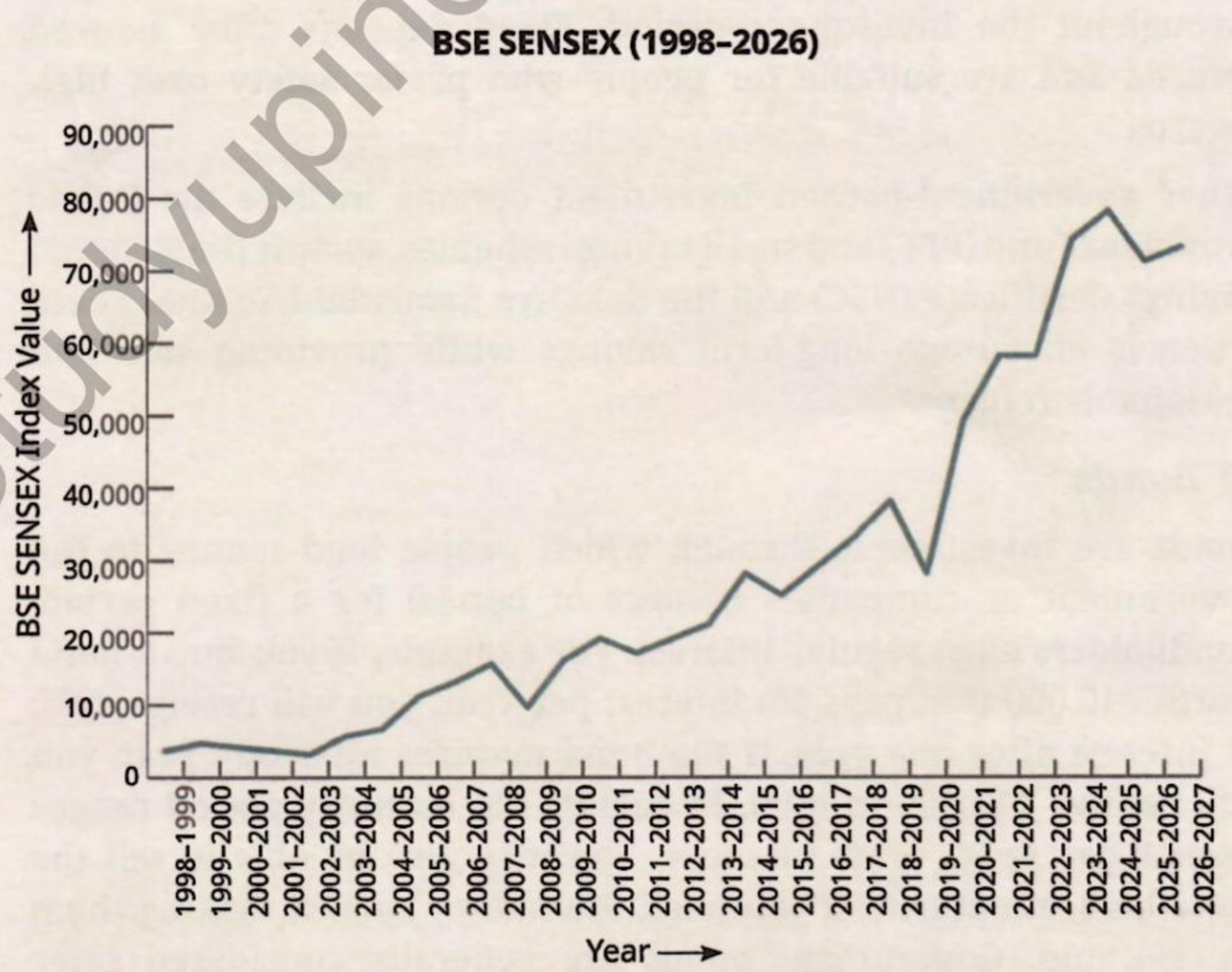

Fig. 5.6. BSE SENSEX over the years

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d) Mutual funds

Mutual funds pool money from many investors and invest it in a basket of shares, bonds, or other financial assets. These investments are managed by professional fund managers who decide where to invest the money. If the investments perform well, investors earn returns in proportion to the amount they have invested. However, if the investments perform poorly, investors may incur losses.

Mutual funds are popular because they reduce risk by spreading investments across different types of assets, a strategy known as **portfolio diversification.** They are suitable for people who may not have the time, knowledge, or experience to manage investments on their own.

THINK ABOUT IT

Have you heard this disclaimer in mutual fund advertisements on the television?

"Mutual fund investments are subject to market risks. Please read all scheme-related documents carefully before investing."

Why do you think this is included?

Protection and Risk Management

Life is full of uncertainties, such as illness, accidents, loss of income, or damage to property. These unexpected events can lead to significant financial losses. Therefore, an important aspect of personal finance is protection—safeguarding your income, savings, and assets against such risks.

Insurance

One of the most effective ways to achieve financial protection is through insurance. Insurance is a legal contract in which an individual pays a regular amount, called a premium, to an insurance company. In return, the company agrees to provide financial compensation for specific losses or expenses covered under the policy. For example, a family may pay ₹500 every month for health insurance. If a family member requires medical treatment, the insurance company covers a large part of the hospital expenses. Without insurance, the family might have to use a substantial portion of its savings for the expenses incurred towards the treatment.

Insurance works on the principle of risk sharing. Many people pay premiums into a common pool. In case of any unexpected loss,

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those insured receive financial support from the insurance company. Therefore, insurance provides financial security during emergencies, reduces the impact of accidents, illness, or property damage, helps families recover from financial setbacks, and encourages people to save and plan their finances through regular premium payments.

Types of Insurance

a) Health Insurance

Health insurance helps cover medical expenses, such as hospitalisation, medicines, diagnostic tests, and treatments. It reduces the financial burden of illness or accidents and allows families to focus on recovery rather than worrying about medical costs. In India, government schemes such as Ayushman Bharat Pradhan Mantri Jan Arogya Yojana provide health insurance coverage to eligible low-income households.

b) Life Insurance

Life insurance provides financial support to a family if the policyholder, who may be the breadwinner of the family, passes away. It helps dependents meet daily expenses, continue children's education, and repay loans. Life insurance is an important tool for ensuring long-term financial security.

c) General Insurance

General insurance protects against losses related to vehicles, homes, businesses, and other property. For example:

- Motor insurance covers repair costs and damages caused by vehicle accidents.
- Property insurance protects homes and businesses against losses caused by fire, theft, flood, earthquake, and other disasters.
- Crop insurance protects farmers from financial losses as it covers damages caused by natural disasters, pests, and market price changes.
- Cattle insurance protects farmers and dairy owners against financial loss in case of death or disability of their animals.

Fig. 5.7. A person applying for a loan in a bank

Borrowing and Credit

Sometimes, people may need to borrow money from banks, relatives, or other sources as loans. Borrowing or using credit can be helpful when it is used for productive purposes, but it can become harmful if misused. For instance, an education loan can help a student pursue higher education, whereas borrowing money to purchase

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unnecessary consumer goods may lead to a **debt** burden and financial difficulties. Thus, responsible borrowing involves taking loans only when necessary and ensuring that they can be repaid on time.

Debt: Amount of money owed to somebody.

THINK ABOUT IT

Have you ever heard your parents say, "This month's EMI has been paid"? An EMI (equated monthly instalment) is the fixed amount of money a person pays every month to repay a loan.

Suppose a family buys a refrigerator costing ₹30,000 but does not want to pay the entire amount at once. In such a case, they may take a loan and repay it through an EMI of ₹3,000 every month for 12 months. Each EMI includes a portion of the original loan amount (the principal) as well as the interest charged by the lender. EMIs are commonly used to purchase mobile phones, household appliances, two-wheelers, homes, and cars.

- Why might a family choose to buy something on EMI even if it costs more in the long run?
- Can having too many EMIs affect savings and emergency funds?

Risk and Return

When deciding where to invest money, it is important to consider four factors—**risk, return, time horizon, and liquidity.**

Risk

Risk refers to the chance of losing money.

Return

Return is the profit earned from an investment.

Time horizon

Time horizon is the length of time for which money can remain invested.

Liquidity

Liquidity refers to how easily an asset can be converted into cash when needed.

Fig. 5.8. Factors to consider before investment decision

Different investment options have different levels of these factors. For example, fixed deposits (FDs) are generally low-risk options that provide steady but relatively lower returns. Mutual funds may offer higher returns, while shares (equity) have the potential to generate the highest returns over the long term but also involve the highest level of risk.

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In general, lower-risk investments tend to offer lower returns, while higher-risk investments may offer higher returns. Therefore, people should choose investments based on their financial goals, the amount of risk they are willing to take, and when they are likely to need the money.

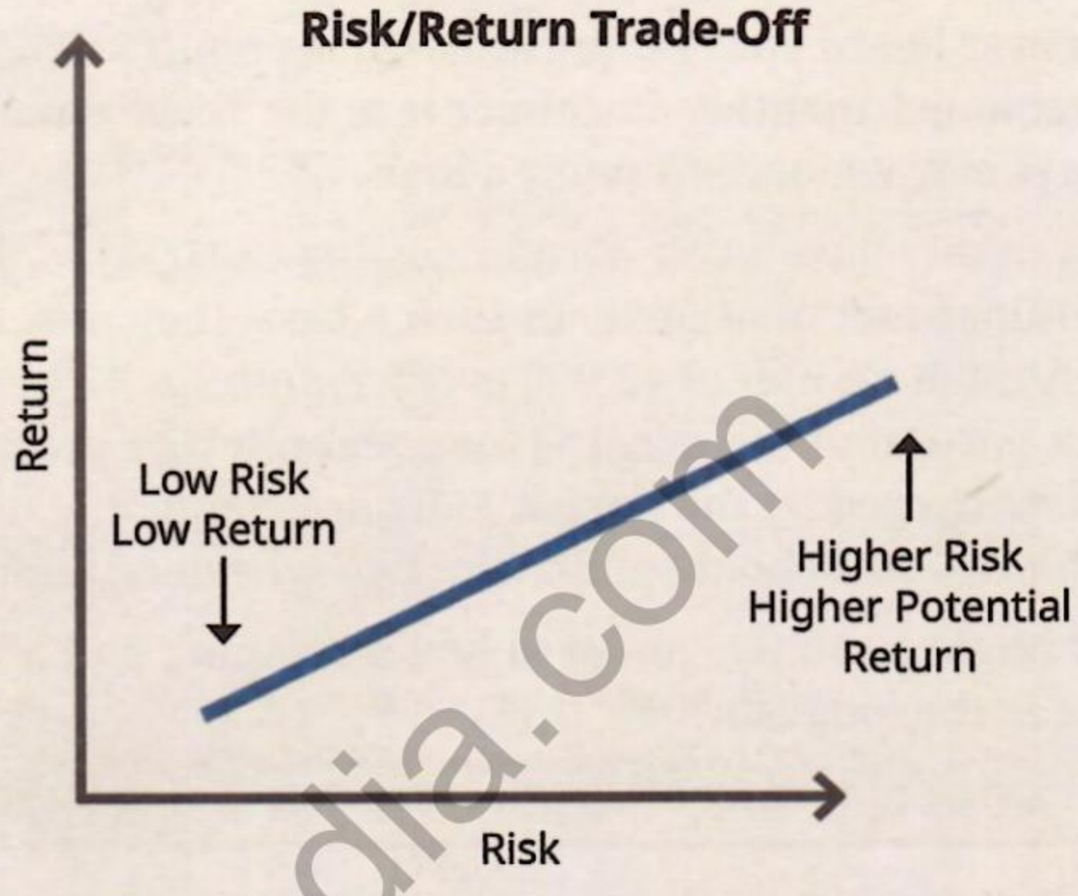

Fig. 5.9. Relationship between risk and return

Taxes

Taxes are compulsory payments made by individuals and businesses to the government to fund public services, such as schools, hospitals, transport, defence, and other essential facilities. There are two main types of taxes:

- **Direct taxes,** which are paid directly on a person's or organisation's income or profits, such as the income tax.
- **Indirect taxes,** which are added to the price of goods and services, such as the Goods and Services Tax (GST).

Personal Income Tax

Personal income tax is a tax paid on the income a person earns in a year (called a financial year, say 1 April 2001 to 31 March 2002). All citizens of India with a personal income are required to pay income tax, with the sole exception of individuals who earn below a certain limit and are exempt from paying the tax. As income increases, the tax payable to the government also increases. This system is known as **progressive taxation,** which aims to reduce income inequality by imposing higher tax rates on individuals with higher incomes.

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The underlying principle is that people with greater financial capacity can afford to contribute a larger share of their earnings towards funding public services, such as schools, hospitals, roads, and security. Paying taxes honestly and on time is an important responsibility of every citizen as it contributes to the well-being of society and the development of the country.

Fig. 5.10. Filing income tax

India follows a slab system for calculating income tax, as shown in Table 5.1. Under this system, taxable income is divided into different ranges, called tax slabs, and each slab is taxed at a specified rate, as seen in Table 5.1. The tax slabs are proposed by the Ministry of Finance as part of the Union Budget presented to the Parliament every year. The Central Board of Direct Taxes (CBDT), under the Ministry of Finance, is responsible for administering the laws relating to direct taxes in India.

Table 5.1. New Tax Regime (Applicable for FY 2025–26)

Annual Income (₹)	Tax Rate (%)
Up to ₹4 lakh	Nil
₹4 lakh–₹8 lakh	5%
₹8 lakh–₹12 lakh	10%
₹12,00,001–₹16,00,000	15%
₹16,00,001–₹20,00,000	20%
₹20,00,001–₹24,00,000	25%
Above ₹24,00,000	30%

Let us understand how a person's income tax liability is calculated. Suppose Priya, a business analyst, earns ₹14 lakh per year. Firstly, her income to be taxed will be calculated as follows:

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Standard deduction: A fixed amount that salaried employees and pensioners can deduct from their income before calculating income tax, as allowed under the Income-tax Act, 2025

Step 1: Calculate Taxable Income

Particulars	Amount (₹)
Annual Salary	14,00,000
Standard Deduction	75,000
Taxable Income	13,25,000

Step 2: Applying the Tax Rate as per the Tax Slabs

Different portions of income are taxed at different rates. For Priya, the first ₹4 lakh of her income are not taxed; the next ₹4 lakh are taxed at 5%; the next ₹4 lakh are taxed at 10%, and so on, as seen in Table 5.2.

Table 5.2. Calculation of Income Tax as per the Tax Slabs

Portion of Income in the Tax Slab	Tax Rate	Tax on that Portion of Income
Up to ₹4,00,000	0%	0
₹4,00,001–₹8,00,000 (next ₹ 4,00,000)	5%	5% of ₹4,00,000 = ₹20,000
₹8,00,001–₹12,00,000 (next ₹4,00,000)	10%	10% of ₹4,00,000 = ₹40,000
₹12,00,001–₹13,25,000 (remaining ₹1,25,000)	15%	15% of ₹1,25,000 = ₹18,750
Total Tax		**₹78,750**

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LET'S ANALYSE

→ Sai's taxable income is ₹3,80,000 in a financial year. How much income tax does he have to pay according to the above tax slabs?

→ Ask your parents, relative or a person in your neighbourhood if they file personal income tax returns. Make a small report on the procedure to file an income tax return. You may refer to the following website: *https://incometaxindia.gov.in/Pages/tax-services/file-income-tax-return.aspx*

In conclusion, managing money wisely is not just about earning more—it is about making careful financial decisions at every stage, whether it involves spending, saving, investing, protecting against risks, borrowing responsibly, or paying taxes. The choices individuals make today shape their financial future and determine their ability to achieve financial stability while managing financial opportunities and challenges.

Before we move on...

- Making informed financial decisions from a young age builds financial security, independence, and confidence for the future.
- Personal finance rests on the five pillars—income, budgeting, saving, investing, and protection—to ensure financial security for individuals.
- Budgeting helps individuals plan their expenses, control unnecessary spending, and save for future needs. Saving and investing are important for building wealth, meeting goals, and protecting money from the effects of inflation.
- Different investment options involve different levels of risk and return, so investment choices should match an individual's goals and risk tolerance.
- Insurance protects individuals and families from financial losses during contingencies.
- Income tax helps governments provide essential public services and infrastructure. Paying taxes honestly is a citizen's responsibility, and helps the government provide public services and promote national development.

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Questions and activities

1. Why is managing money wisely important for all individuals irrespective of their income?
2. How can budgeting help people balance their present needs with their future financial goals? Give examples.
3. **School Reopening Budget Activity**

   Your parents have given you ₹3,000 to prepare for the new school year. Make a list of the items you need, find out their prices (by visiting local stores, or asking a parent or teacher),

and prepare a budget. Calculate the total cost and check whether it stays within ₹3,000.

- If your total is less than ₹3,000, you may add one additional item of your choice.
- If your total exceeds ₹3,000, decide which item(s) you can postpone or avoid buying to stay within your budget.

Use the budget template provided and ensure that all expenses are accurately calculated.

School Reopening Budget

Total Amount	₹3000
Expenses	**Amount**
School bag	₹
Books	₹
Uniform and shoes	₹
Notebooks	₹
Pens	₹
Pencils	₹
Art supplies	₹
Total Expenses	₹
Savings	₹

4. Why is saving alone often not enough to build wealth in the long run? How do investments help increase the value of money over time?

5. **Investment Planning Activity**

   Suppose you received cash gifts worth ₹3000 on your last birthday and decided to save ₹1500. With the help of your teacher, calculate the returns you might have earned if you had invested this amount in different combinations of investments. For example, what returns would you have received if you had invested ₹500 in a fixed deposit, ₹800 in the stock market, and ₹200 in gold? Try other combinations and find information on the returns from different investment options using reliable sources, such as newspapers, magazines, or official websites. Based on your findings, prepare an investment plan explaining why you think each investment option is suitable or unsuitable.

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6. How does inflation affect the value of money over time? Why should people consider inflation while making financial decisions?
7. Different investment options involve different levels of risk and return. Do you think taking higher risks is always the best way to earn higher returns? How should a person decide which investment option is most suitable for them?
8. Why do people buy insurance policies even though they may never face a major loss? How does insurance provide financial security?
9. Imagine your family receives ₹1,00,000 from farming, a small business, livestock sales, and savings. Help your family decide how to use the money wisely.

Step 1: Prepare a Budget

Allocate the ₹1,00,000 among the following categories:

Category	Amount (₹)	Percentage (%)
Savings		
Education		
Household expenses		
Health and emergency fund		
Farm or business investment		
Home improvement		
Festivals and recreation		
Other		
Total	**1,00,000**	**100%**

Step 2: Needs vs Wants

Classify each expense as a **need** or a **want** and give a reason.

Examples:

- School fees
- New mobile phone
- Better seeds or livestock feed
- Festival celebrations
- Water storage tank

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Step 3: Save for the Future

Suppose your family saves **₹30,000** at **8% compound interest per year.**

Using the formula **A = P(1 + r)^n**, where **A:** Amount, **P:** Principal, **r:** Rate of compound interest, **n:** number of years, calculate:

1. The amount after 5 years.
2. The interest earned.

Step 4: Save First, Spend Later

Many financial experts recommend:

Expenses = Income – Savings

If your family receives ₹1,00,000 and saves ₹20,000 first, only ₹80,000 is available for spending. This helps ensure that future needs and emergencies can be met.

Step 5: Reflect

1. What percentage of the money did you save?
2. Which expenses were needs and which were wants?
3. How can savings improve a family's financial security?
4. How does compound interest help money grow?

Challenge: Create a pie chart showing how the ₹1,00,000 was allocated across different categories.

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Notes

Chapter 6

From Ideas to Startups

The Big Questions

1. *How does entrepreneurship impact society and the economy?*
2. *What are some functional areas of a business?*
3. *How to develop a business plan?*

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Imagine your school is hosting an annual festival, and you participate in the 'Young Entrepreneurs Challenge', where you have to develop a product or service for parents and children visiting your stall. You come up with an idea for a lemonade *(nimbu pani)* and set up a stall with your classmates. At the end of the day, you prepare and submit a detailed report on the expenses incurred and the **profit** made to your class teacher.

What do you think is required to run the stall? You will have to decide how much to spend on lemons and sugar, where to procure glasses, how much to charge for each glass, and so on. Also, you will have to assess how many people liked the drink and if you made a profit or loss. This simple activity captures the essence of running a business—planning, organising, and learning by doing. This is **entrepreneurship**, a process through which individuals, or a group of individuals, convert a potential idea into a business venture.

Every great business starts with an idea, a need, or a desire to innovate

Fig. 6.1. Elements of entrepreneurship

Profit: Money that is earned in trade or business after paying the costs of producing and selling goods and services.

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Fig. 6.2. Tasks performed by an entrepreneur

and meet the needs of society. Entrepreneurs are curious individuals who see opportunities where others see challenges and turn that spark into action. Whether it is leading a business that manufactures drones for traffic surveillance or creating eco-friendly jute bags that can replace plastic, an entrepreneur works hard, and is driven by passion and a commitment to creating value for society. Let us understand this through a story.

From a Dead Mouse to Riches

One day, a rich merchant told his king, "Even a dead mouse can be the start of a fortune, if someone works hard and uses their brain." A poor young man overheard this and decided to test it. He picked up a dead mouse and sold it to a shopkeeper for two coins since his cat was hungry. With those coins, the young man bought fruits and water, which he sold to a tired flower picker in exchange for flowers. He then sold the flowers in the city.

Fig. 6.3.

Step by step, he grew his small earnings by clearing fallen branches after a storm and selling them as firewood, trading grass with horse dealers, opening a refreshment shop to later even striking business with foreign merchants.

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With intelligence, dedication, and hard work the man became very wealthy. But he did not forget how it all started—with the merchant's words. Out of gratitude, he gave the merchant half his fortune. Also, the man used his wealth not just for himself, but to help communities in the city as well.

Fig. 6.4.

The story above is from the famous *Jataka Tales*. What can you take away from the tale? Is it about spotting opportunities or working smart? What kind of traits do you think entrepreneurs need to have? Discuss with your classmates.

Let us learn about stories of a few entrepreneurial minds who turned their ideas into reality.

From Rooftop to Revolution

In 1959, seven ordinary homemakers from a Mumbai **chawl** gathered on a rooftop with borrowed equipment, a recipe, and ₹80. Their goal was modest—earn some extra income by making and selling *papads*. They had no business degrees, no investors, and no master plan; instead, what they had was grit and unity. There were no factories at first; each woman took raw dough home every morning, rolled *papads* through the day between household tasks, and returned the finished pieces by evening with the condition that 'the quality had to be consistent'. They decided to start a cooperative society where every member who joined would be an equal owner, and profits would be shared equally regardless of seniority.

Chawl: A traditional, multi-storey residential tenement building, typically consisting of dense, single-room units.

In 1962, they registered the venture as Shri Mahila Griha Udyog Lijjat Papad, a cooperative society, where 'lijjat' means tasty in Gujarati. Afterwards, many branches opened across India and garnered thousands of members. In the 1980s and 90s, Lijjat expanded into other products like flour, masalas, and soaps, and exports began too, crossing a turnover of ₹100 crore. By 2023, the cooperative had over 45,000 women members, 83 branches, and an annual turnover of ₹1,600 crore.

The women begin work early in the morning, facilitated by pick-up and drop-off bus services. Lijjat also provides scholarships to

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Fig. 6.5.

the school-going children of the members to encourage them to pursue further education. The organisation has helped thousands of women become financially independent, empowered communities, and built a large-scale business while being completely self-reliant.

THINK ABOUT IT

- What problem was Lijjat solving beyond just selling *papads*?
- What challenges do you think the founders could have faced at the start? How might they have overcome them?
- Can you think of a similar cooperative idea you could start in your community?

The Man who Transformed the Hospitality Industry

Born in Punjab in 1898, Mohan Singh Oberoi faced hardships early in life when his father passed away while he was still an infant. After somehow completing his education, he moved to Shimla and took a job as a hotel desk clerk, earning just ₹50 a month.

Rather than limiting himself to his assigned duties, Mohan learned every aspect of hotel operations, from guest service to billing and administration. His dedication, curiosity, and willingness to take initiative set him apart.

In 1934, he took a bold step by **mortgaging** his wife's jewellery and investing all his savings to buy a small hotel. Despite the risks, he believed in his vision. Through hard work and determination, he

Mortgage: A mortgage is a special type of loan used to buy a house or land with some collateral.

Study using

transformed struggling hotels into successful businesses, and went on to build one of India's largest hotel chains. He later established luxury hotels, founded a hotel management school, and expanded his business across the world. In 2001, the Government of India accorded him the Padma Bhushan. He passed away in 2002; by then, the Oberoi Group, named after him, had become one of the world's most respected hotel brands.

His journey shows how entrepreneurship is not only about having a good idea. It involves planning, teamwork, decision making, and the effective management of different areas of the business. For example:

- He **hired and trained skilled** staff to provide excellent hospitality services, and constantly worked to improve hotel facilities and guest experiences.
- He carefully **managed the business's finances** to support growth and expansion.
- His hotels were **renovated and operated efficiently** to maintain high standards.
- The company **built a trusted brand** known for luxury and quality service.
- **Customer satisfaction** remained the top priority in all hotel operations.

These are some of the functions that entrepreneurs and their teams perform. There are departments or groups within a company that focus on such distinct tasks and shared skills, also known as functional areas. Let us understand them in detail and learn how a business plan is prepared.

Business Plan—A Road Map for the Business

Let us assume that you and your friends decide to open a bakery together that offers snacks and desserts. How would you go about it? You have to consider many crucial questions, identify challenges, and plan at every stage before starting the bakery to turn this simple idea into a successful business venture. This is when a business plan is developed. It is a written document, a blueprint explaining the goals of the business and the steps to achieve them. It guides the entrepreneur from the initial idea stage to successfully starting and running the business. It also serves as a guide and roadmap for

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decision making, helping them stay organised, set priorities, and work systematically to grow the business.

Exploring aspects such as those listed below could be especially helpful while creating a business plan.

Needs and Idea

What do people need? Can it be produced? What problem does it solve?

Potential Customers

Who will use the product or service? Young adults, children, and/or elderly?

Money and Costs

How much money is needed? What are the costs? What would be the funding sources friends, family, investors, etc.?

Location

Where will it be made? Where will it be sold: at a store or online?

Human Resources (People and Skills)

How many people are needed? What skills are required?

Pricing and Profits

What will the price be? How much profit can be made?

Promotion or Marketing

How will the product or service be advertised: through TV, social media, or print ads?

Challenges and Risks

What are the threats to operations or causes of loss?

Fig. 6.6. Key considerations in making a Business Plan

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1. **Needs and idea:** To understand what people want, you would have to understand customer needs.
   - Do customers prefer fresh bread, cakes, pastries, or healthier options like whole wheat products?
   - Will the bakery provide fresh, affordable, or unique baked goods that were not available in the area before?
2. **Potential customers:** Knowing your customers helps you decide what kind of products to offer. To identify the target consumers, one may think about:
   - Decide whether to specialise in offering cakes, cupcakes for children, or savoury snacks for young adults, or everyday breads and confectionery items for families.
3. **Money and costs:** Your business needs a robust financial start, which begins with planning finances and estimating the initial investment required. This includes the cost of equipment, such as an oven, rent for the premise, staff salaries, ingredients, such as flour and nuts, and packaging.
   - How should funds be arranged? (through savings, loans from banks, friends, relatives, or investors)?
   - How much will the expenses be?
4. **Location:** You may want to choose the right place for your bakery.
   - Can choosing a busy area, such as near schools, colleges, or markets, help attract more customers?
   - Can selling online or taking orders through mobile apps help you reach more people?

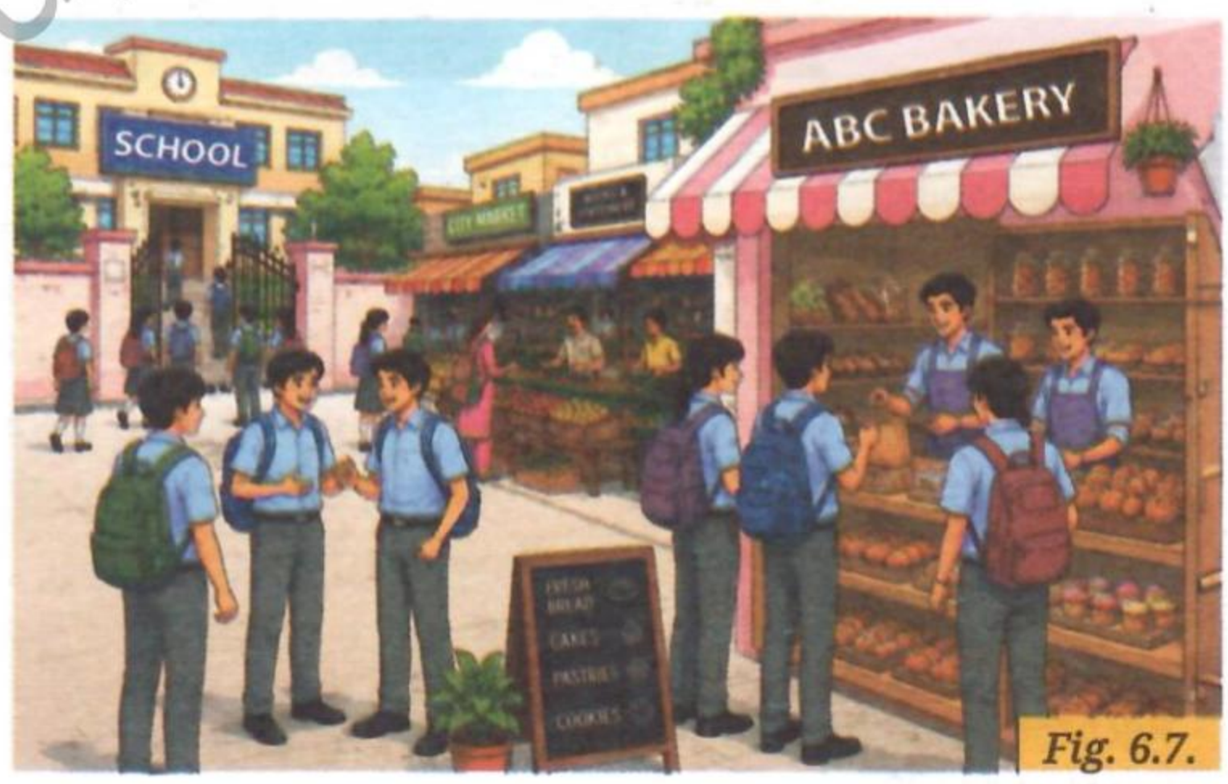

Fig. 6.7.

5. **Human resources (people and skills):** You will have to decide how many people have to be hired and trained, and the required skills for the job.
   - Identify people for roles, such as bakers, helpers, and staff for billing or delivery.

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6. **Pricing and profits:** You may consider fixing prices carefully so that they not only cover your costs and generate profit but also remain affordable for customers.
   - How to balance profitability with affordability when setting prices of goods and services?
   - Can offering a range of pricing options help attract a wider set of customers, for example, cheaper mini cake jars?
7. **Promotion or marketing:** To spread awareness among people about the bakery, you may want to promote it through social media, posters, and provide special offers.
   - What kind of packaging can enhance the appeal and shelf-life of the bakery products?
   - How can customer service be improved to retain customers?

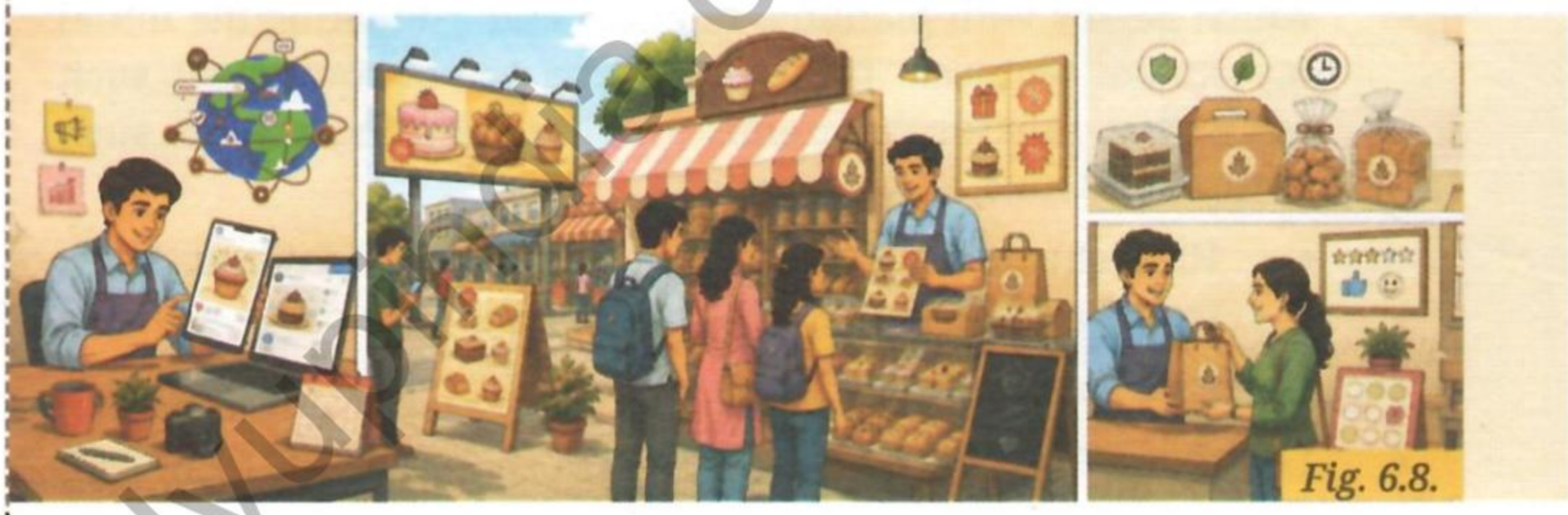

Fig. 6.8.

8. **Challenges and risks:** These are threats that disrupt operations or cause losses, for example, high competition, rising cost of raw materials, changing customer preferences, volatile cash flows, etc. These are an inevitable part of every business venture.
   - How can perishable **inventory** be managed effectively?
   - How can consistent quality in the products be ensured?
   - How should fluctuating customer demand be handled?
   - Are there other bakeries in the locality and how can we compete with them?

Inventory: The goods, materials, and assets a business holds for the purpose of manufacturing, production, or resale.

Accounting: Recording and tracking all the money related to the business so the owner knows how it is performing.

Functional Areas of a Business

The questions in Fig. 6.6 about a business can be grouped into a few main functional areas, like management and operations, finance and **accounting**, human resources, and marketing and sales. Each area has a specific function and helps the business run smoothly. They improve decision making and ensure resources are used properly. Together, they provide structure, better coordination, and help the business grow successfully. Let us learn about them in detail.

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FUNCTIONAL AREAS OF A BUSINESS

Every successful business runs on four key pillars. Together, they turn goals into growth.

1 Management and Operations

Looking after day-to-day matters

Key Focus: Efficient processes and smooth operations

Examples: Production, quality, supply chain, etc.

2 Finance and Accounting

Managing money wisely

Key Focus: Financial health and smart budgeting

Examples: Budgeting, reporting, cash flow, etc.

3 Human Resources

Managing people

Key Focus: Right people and skills

Examples: Hiring new staff, managing employee benefits, and handling workplace conflict resolution, etc.

4 Marketing and Sales

Spreading awareness and driving sales

Key Focus: Customer awareness and business growth

Examples: Advertising, promotions, sales, etc.

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Fig. 6.9. Functional areas of a business

Fixed cost: Business expenses that remain constant regardless of production volume or sales levels. They do not change with output in the short term and act as indirect or overhead costs, such as rent, salaries, or insurance.

Variable cost: Expenses that change in direct proportion to the volume of goods or services a business produces or sells. They increase as production rises and decrease as production falls, covering raw materials, packaging, etc.

Investment: The allocation of money or resources into an asset, venture, or project with the expectation of generating future income, profit, or value appreciation.

Management and Operations

Fig. 6.10.

Management and operations are essential for running a business smoothly. Management involves planning, organising, and guiding the use of resources to achieve business goals, such as increasing market share through customer satisfaction. Operations focuses on producing and delivering goods or services efficiently and on time. For example, in a bakery, you must choose the right equipment, arrange ingredients, monitor quality, and plan daily production to ensure fresh and high-quality products are made regularly without delay or wastage.

Finance and Accounting

Finance is the management of money in a business. It involves planning, obtaining, and using funds to help the business operate and grow.

For the bakery, you would have to plan for the following:

- Paying **fixed costs:** rent, equipment costs (ovens, mixers, refrigerators), etc.
- Paying **variable costs:** cost of ingredients, salaries, packaging material, etc.
- Investing in growth opportunities
- Managing profits and cash flow

Accounting is the process of recording, organising, and reporting a business's financial transactions. Every entrepreneur needs to understand basic accounting concepts to know how their business is doing. It means keeping track of the money coming in (revenue) and the money going out (expenses), and making sure all records or documents are correct. One important record is the profit and loss account (or income statement). It shows whether the business has made a profit or a loss over a period of time, such as a month or a year. This helps to make informed decisions about spending and **investment**. We can track what the business owns and how much has been borrowed. It also enables compliance with tax laws and regulations of the country.

Profit = Total Revenue – Total Expenses

Revenue is the total money earned by a business from its main operations or sale of goods and services. For example, ABC bakery

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may earn ₹2,95,000 in a month, as seen in its profit and loss account shown in Fig. 6.11.

Expenses include the money spent on running and maintaining a business. These include salaries to employees, electricity bills, cost of raw materials, etc. Further, there may be some interest to be paid on a loan and lastly, taxes to be paid to the government.

PROFIT AND LOSS ACCOUNT
*ABC Bakery (Teen enterprise) | For the month ended March 2026

Income		
	Particulars	**Amount (₹)**
	Revenue from operations (sales)	
	Bread and buns	₹1,20,000
	Pastries and cookies	₹75,000
	Cake orders	₹85,000
	Delivery charges	₹15,000
	Total Income	₹2,95,000
Expenses		
	Particulars	**Amount (₹)**
	Cost of goods sold (COGS)	
	Raw materials: flour, sugar	₹1,00,000
	Packaging material	₹12,000
	Rent	₹40,000
	Salaries and wages for staff	₹30,000
	Utilities (electricity and gas)	₹15,000
	Advertising and marketing (social media advertisements, posters)	₹8,000
	Miscellaneous expenses	₹7,000
	Interest on loan	₹10,000
	Total Expenses	**₹2,22,000**
Profit Calculation		
	Particulars	Amount (₹)
	Total sales	₹2,95,000
	Total expenses	– ₹2,22,000
	Profit before tax (PBT)	₹73,000
	Tax to be paid	– ₹13,000
	Profit after tax (PAT)	₹60,000

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Fig. 6.11. A sample profit and loss account for ABC bakery
**This is a fictional name and any similarity in real world is purely conincidental*

Note: Students need not memorise the above categories.

Human Resources

People are the heart of every business. Human resources are the individuals employed by the entrepreneur who contribute to the business. For a bakery, functions, such as hiring bakers, helpers, cleaners, and a cashier; training staff in hygiene and baking standards, and ensuring a comfortable and motivating workplace fall under the human resources department. They helps build a strong team with required skills that fosters business growth.

Marketing and Sales

The marketing and sales team helps attract customers and convinces them to buy the products. In a bakery, this includes choosing a catchy name, promoting the business on social media, and offering discounts.

Some simple strategies include:

- Creating unique or seasonal items and customised desserts like mango-flavoured cake.
- Offering discounts, deals, or special offers.
- Providing easy online ordering and delivery.
- Using social media to share photos and videos for awareness among people.
- Promoting eco-friendly practices of recyclable packaging material.

LET'S EXPLORE

→ Interview two people in your vicinity who run a business (tailor, shopkeeper, factory owner, etc.) and find out about their journey of starting the business by asking them the following questions:
  - Why did they start the business?
  - What were the challenges they faced?
  - What were the risks taken?
  - What did they learn from the process?

→ Prepare a short report on the tasks an entrepreneur performs at each stage, with reference to Fig. 6.2.

→ Based on the case study of Mohan Singh Oberoi on Page 128, which functional area helped improve the quality of the company's products? How did different functional areas work together to make the business successful? Now that you know about the functional areas of a business, create a business plan for your business idea using the template given on Page 142.

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India's Traditional Entrepreneurial Community

Entrepreneurship in India has deep roots among traditional communities, where skills, occupations, and occupational knowledge have been passed down through generations. Long before modern startups, these communities practised self-employment, innovation, and trade, forming the backbone of India's local economy.

The Chettiar (Nattukottai Chettiar) community from Tamil Nadu is a well-known traditional entrepreneurial community. Historically, Chettiars were traders, bankers, and moneylenders, operating not only across India but also in Sri Lanka, Burma (now Myanmar), Malaysia, and other parts of Southeast Asia. They were known for:

- Strong business ethics and trust-based lending
- Excellent accounting and record-keeping skills
- Reinvesting profits into trade, temples, education, and community welfare

The Chettiar community built wealth through trade in salt, rice, textiles, and finance, often without formal banks. Even today, Chettiar entrepreneurship inspires modern India by showing how risk-taking, discipline, and long-term vision can build sustainable businesses rooted in tradition.

Fig. 6.12. A traditional Chettiar home

LET'S EXPLORE

Find out more about other regional communities who have excelled as entrepreneurs.

Startup: A young, early-stage company founded by entrepreneurs offering an innovative product or service.

Atmanirbhar Bharat: A national policy framework launched by the government in 2020 to make the country self-sustaining, boost domestic manufacturing, and reduce import dependency.

Viksit Bharat 2047: The Government of India's vision to transform India into a fully developed nation by 2047, marking 100 years of independence.

Startups and Their Contribution to the Nation

India's vibrant **startup** ecosystem is built not only on innovation but also on perseverance. All entrepreneurs should be aware that there is a chance of their business ending in failure. So while some startups grow rapidly, others struggle or even close down. As with other things in life, there is nothing wrong with failure if an honest effort has been made. Hence, these experiences contribute to entrepreneurial learning, and every unsuccessful attempt offers lessons that help entrepreneurs develop stronger ideas and build better businesses in the future.

As was famously said by Swami Vivekananda:

> *"Arise, awake and stop not till the goal is reached.*

With consistent hard work and perseverance, today, India is the third-largest startup ecosystem in the world, powered by its young and talented population. The startup world is growing fast, driven by creativity and technological support, with around 120 unicorns (startups valued at over 1 billion dollars) in 2025. These are working in exciting fields, like e-commerce (online shopping), fin-tech (digital payments), health-tech (online healthcare), and agri-tech (farming technology). Cities like Bengaluru, Hyderabad, Mumbai, and Delhi NCR have become major startup hubs. These ventures are creating jobs, supporting sustainability, and driving economic growth.

In recognition of the importance of promoting entrepreneurship, the government has introduced many schemes, such as Startup India, which supports the vision of **Atmanirbhar Bharat**, focusing on making India self-reliant through innovation and local solutions. As India moves towards the vision of **Viksit Bharat 2047**, entrepreneurship will continue to play a vital role in creating employment, driving innovation, empowering communities, and building a more prosperous, self-reliant, and sustainable nation. The next generation of entrepreneurs may well be sitting in your classroom today, ready to transform ideas into solutions that make a meaningful difference to society.

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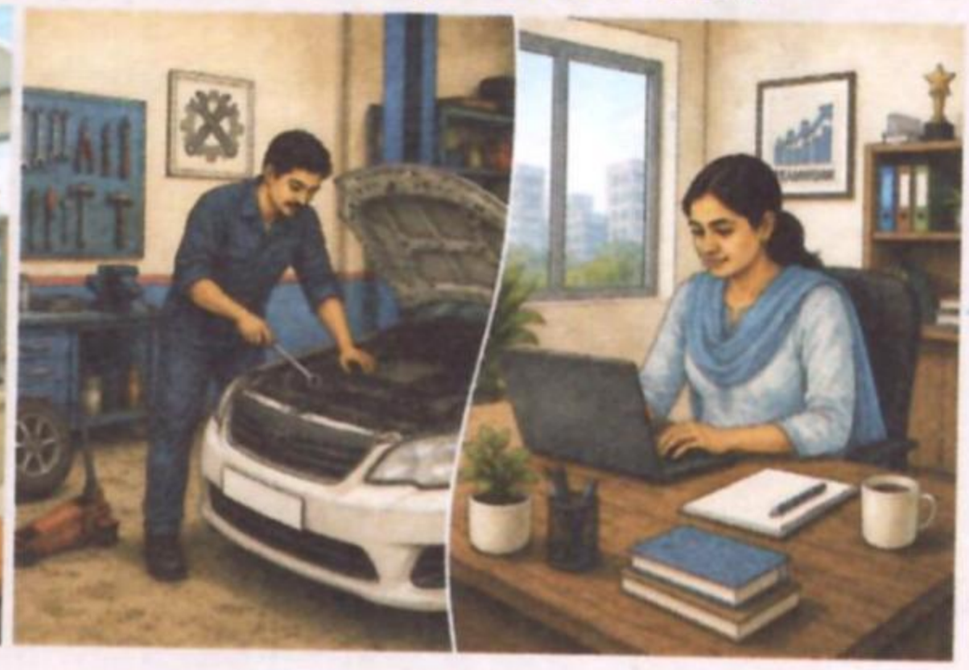
IMPROVING QUALITY OF LIFE

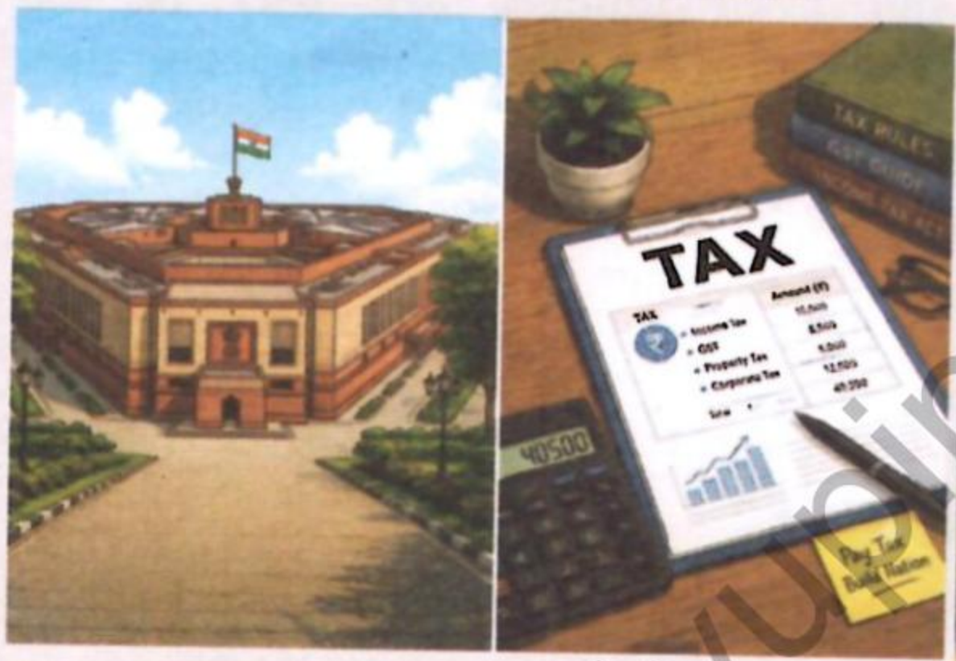
Medicines, transportation, technology, and innovations

CREATING JOBS AND INCOME



Employment for households

PAYING TAXES TO THE GOVERNMENT



Funding roads, schools, and hospitals

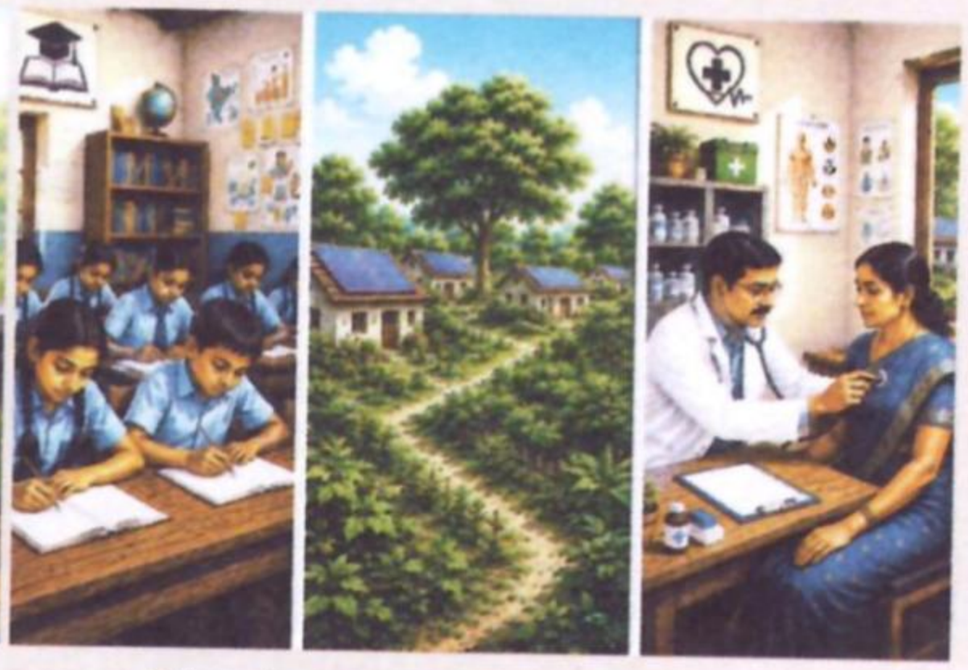
PRODUCING GOODS AND SERVICES

Boosting economic activity

MAKING INNOVATIONS

Driving economic growth and offering solutions

CORPORATE SOCIAL RESPONSIBILITY



Education, environment, and healthcare

Fig. 6.13. Contribution of businesses to society and economy

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Before we move on...

- Entrepreneurship is the process of turning ideas into action by identifying opportunities, taking risks, and creating value for society.
- A business plan acts as a roadmap that helps entrepreneurs set goals, organise resources, and make informed decisions.
- Every business has key functional areas—management and operations, finance and accounting, human resources, and marketing and sales—that work together for success.
- Understanding revenue, expenses, profit, and cash flow helps businesses track performance and remain financially sustainable.
- Challenges, risks, and even failures are part of the entrepreneurial journey and provide valuable opportunities for learning and improvement.
- Startups and entrepreneurs drive innovation, create jobs, solve real-world problems, and contribute to the vision of a Viksit Bharat 2047.

Questions and activities

1. Explain why a business can fail even with a great idea if one functional area [finance, human resources (HR), operations, or marketing] is weak. If you were running a bakery, which functional area would you prioritise first and why?
2. Do you think innovation alone is enough to make a business successful? Why or why not?
3. "A business plan is a dynamic roadmap for a startup." Explain this statement with suitable examples. When should one change the business plan?
4. Do you think every entrepreneur should think about the impact of their goods or services on society and the environment? Explain using relevant examples.
5. In 1931, two brothers, Digambar and Govind Dandekar, started a small business in South Mumbai selling ink powder. They began with limited resources, using recycled glass bottles to sell liquid ink. At first, they faced financial problems and struggled to convince customers to trust their products. Instead of giving up,

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they focused on providing good-quality stationery at affordable prices. As the business grew, they noticed that artists in India did not have access to good art materials. Seeing this as an opportunity, they travelled to Glasgow to study colour chemistry and improve their products. After returning to India, they set up a laboratory to develop colours and art supplies suited to Indian needs. Over time, the company expanded into pencils, crayons, geometry boxes, and paints, eventually becoming a well-known brand.

- What entrepreneurial qualities did the Dandekar brothers display?
- What opportunity did they identify in the market?
- Was travelling to Glasgow a risky decision?
- Which functional area helped the company improve its products?
- How did they serve society apart from earning profits?

6. How do you think entrepreneurship is important for India's goal of becoming a developed nation by 2047?
7. Choose a product or service and develop a business plan for it using the following template:
   - Business name
   - Business idea
   - Target customers
   - Product/service and price
   - Marketing idea
   - Basic cost and expected profit
8. Find out about various government schemes to promote entrepreneurs in India. Learn about the eligibility requirements of these schemes. Prepare a write-up and discuss in the class.
9. Take any popular brand and identify:
   - The problem it tackles
   - Its initial target customers
   - How it differentiated itself from other competitors or brands
   - The resources it may have started with

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10. Over the next week, observe your daily routine at school and home. Identify 2–3 problems or inconveniences you or others face. For each problem, answer the following questions in a tabular format:
    - Who faces this problem?
    - How often does it occur?
    - Why hasn't it been solved yet?
    - What business idea could solve it?
    - Would people pay for your solution?
11. Think of your startup idea and fill in the business plan template given below:

    a. Business idea

    Name of the company or shop: _____

    Product/service: _____

    Tagline (optional): _____

    b. Entrepreneur profile

    Founder(s): _____

    Why did you choose this business idea?

    _____

    _____

    What problem does your business solve?

    _____

    _____

    c. Target customers

    Who will buy your product or service?

    ☐ Students ☐ Tourists

    ☐ Parents ☐ Farmers

    ☐ Local residents ☐ Businesses

    ☐ Others: _____

    Describe your target customers:

    _____

    _____

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d. Market research

Find answers to the following questions about potential customers.

Question	Findings
What do the customers need?	
What products or services already exist?	
How is your idea different?	

e. Product or service description

Describe your product or service. List its key features and benefits:

f. Resources required

Resource	What is needed and how much?
Human Resources	
Finance	
Materials	
Technology	
Infrastructure	

g. Operations plan

How will the business work? Write the steps. You may depict this using a flow chart.

h. Marketing plan

How will customers learn about your business?

- ☐ Posters
- ☐ Social media
- ☐ Word of mouth
- ☐ Other: _____
- ☐ School events
- ☐ Local market
- ☐ Newspapers

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i. Financial plan

Source(s) of finance:

Estimated monthly cost on various items:

Item	Cost (₹)
Total Cost	

Details of expected monthly revenue sources:

Source of Income	Amount (₹)
Total Revenue	

Expected Profit:

Revenue – Cost

₹ _____

j. Risks and challenges

What challenges might your business face?

_____

_____

k. Social and environmental impact

How will your business help people or the environment?

_____

_____

l. Conclusion

Why do you believe your business will succeed?

_____

_____

_____

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12. **Visit a factory or a production unit.**

Explore how a business operates by visiting a factory or production unit that manufactures a product. Prepare questions for the owner or manager, such as:

- What product does the factory produce?
- Who are its customers?
- How did the business start?
- What challenges did the business face in its early years?
- How does the business manage its finances?
- How are employees recruited and trained?
- How are products supplied to wholesalers, retailers, or consumers?

During the visit, observe the production process carefully. Note the resources used, such as raw materials, machinery and technology, workers, and managers. Interact with the owner or manager and record key information. Take notes and photographs (if permitted).

After the visit:

- Understand the manufacturing process and create a process map showing the journey of the product from raw materials to the final customer.
- Identify barriers to growth, such as:
  - → **Financial Barriers:** Lack of capital, difficulty obtaining loans or credit, etc.
  - → **Technical Barriers:** Outdated machinery, limited access to technology, etc.
  - → **Human Resource Barriers:** Skill shortages, difficulty hiring or retaining workers, etc.
  - → **Market Barriers:** Competition, limited access to suppliers or customers, etc.
  - → **Regulatory Barriers:** Complex procedures, licences, approvals, or paperwork, etc.

Recommend some practical solutions through which the business could overcome these challenges. Share your findings by preparing a presentation and a report highlighting your observations, analysis, and recommendations. The format of the report may be as follows:

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- Introduction
- Production or service delivery process (with diagrams or flowcharts)
- Resources required
- Barriers identified (supported by observations or evidence)
- Suggested solutions
- Reflection: key lessons learned from the visit

Notes

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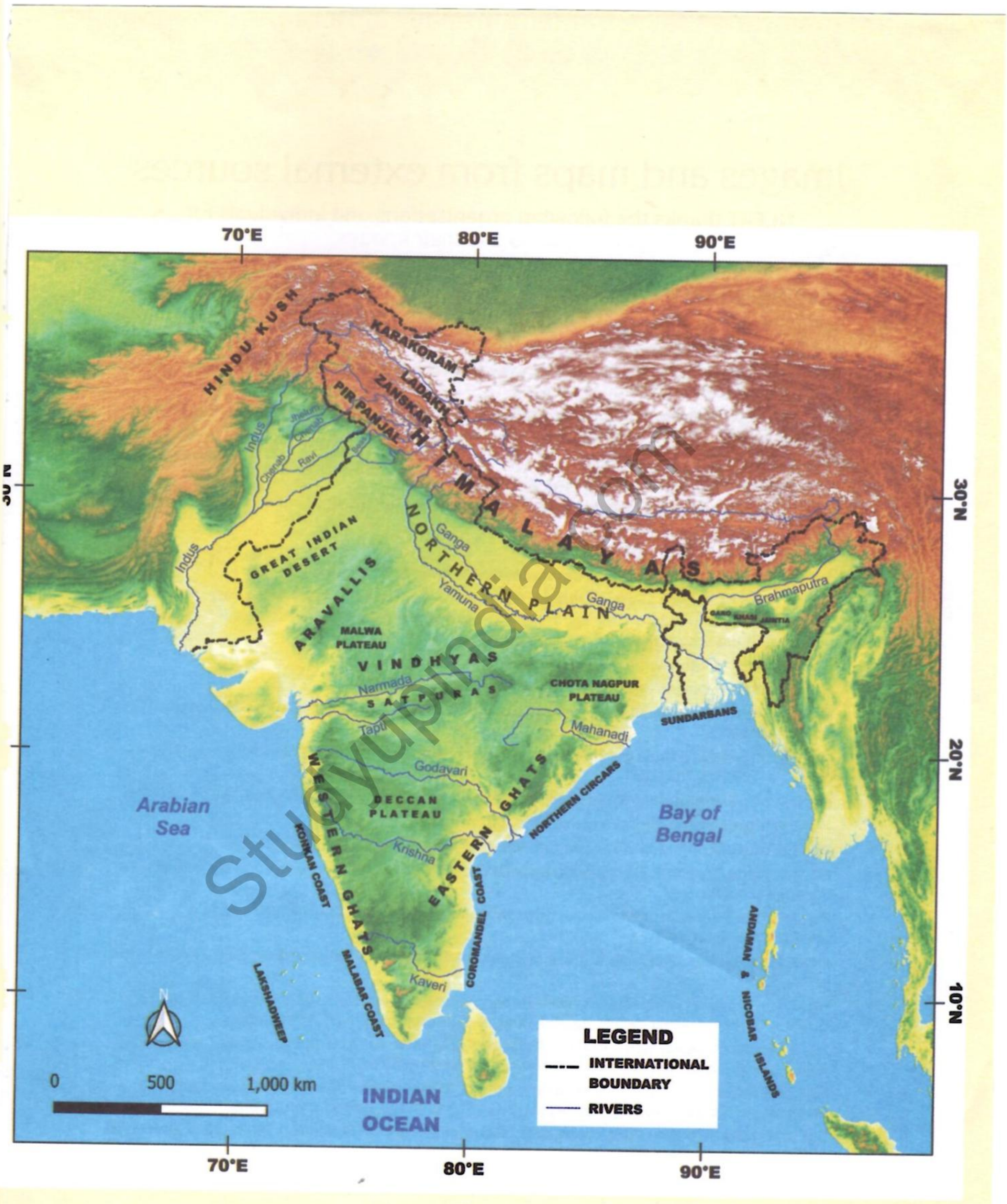
Political Map of India



Physical Map of India

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- Fig. 3.7, 3.12, 3.13, 3.22, 3.25
- Fig. 5.10
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NOTE

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